CySEC / CIF Pruefungsvorbereitung

201 Karteikarten - Fragen, Antworten & Erklaerungen

Frage 1

As part of its actions in governing the provision of investment services by authorised firms CySEC is responsible for ensuring:

A. that all CIF authorisations, rejections and revocations are communicated to the European Central Bank

B. the compliant arrangements of all ACIs

C. the sound and prudent management of all CIFs

D. that the strategies and processes implemented by CIFs are reviewed every 2 years

Correct Answer: C (the sound and prudent management of all CIFs)

Explanation:

- **Why C is correct:** Ensuring the sound and prudent management of Cypriot Investment Firms (CIFs) is a core supervisory responsibility of CySEC under the Investment Services Law.
- **Why A is wrong:** Notifications regarding CIF authorizations/revocations are sent to **ESMA** (European Securities and Markets Authority), not the ECB.
- **Why B is wrong:** ACIs (Authorized Credit Institutions/Banks) are supervised by the **Central Bank of Cyprus (CBC)**, not CySEC.
- **Why D is wrong:** Strategies and processes must be reviewed **at least annually**, not every 2 years.

Frage 2

CySEC discovered that a foreign firm which is NOT subject to the regulator's supervision is carrying out an act contrary to EC regulations. As well as notifying the competent authority of the relevant member state, what other action MUST the regulator take?

A. Freeze any local assets held by the firm

B. Inform European Securities and Markets Authority

C. Publish a referral statement in the national press

D. Issue a statutory warning notice to the firm

Correct Answer: B (Inform European Securities and Markets Authority)

Explanation:

- **Why B is correct:** Under cooperation agreements, if a regulator suspects an entity not under its supervision is breaking rules, it must notify the entity's home regulator **AND**

ESMA.

- **Why A, C, D are wrong:** These are enforcement actions that usually require the firm to be under CySEC's supervision or require specific legal proceedings. The immediate mandatory *administrative* action is notification to ESMA.

Frage 3

CySEC may legitimately refuse to cooperate with an investigation by another competent authority if it:

A. involves the sharing of confidential information

B. might adversely affect market stability

C. involves the sharing of price sensitive information

D. might adversely affect public order

Correct Answer: D (might adversely affect public order)

Explanation:

- **Why D is correct:** There are only three specific grounds for refusal to cooperate: 1) It affects sovereignty, security, or **public order**; 2) Judicial proceedings have already been initiated for the same actions; 3) A final judgment has already been delivered (double jeopardy).
- **Why A, B, C are wrong:** Confidentiality or market sensitivity are **not** valid grounds for refusal. Regulators are legally required to exchange confidential information, provided the receiver maintains professional secrecy.

Frage 4

CySEC must ensure that any person acting on behalf of a CIF is:

A. over the age of 21

B. sufficiently knowledgeable

C. reasonably solvent

D. under the age of 60

Correct Answer: B (sufficiently knowledgeable)

Explanation:

- **Why B is correct:** CySEC maintains a public register of certified persons. To be registered, individuals must be of "good repute" and possess "appropriate general, commercial and **professional knowledge**" (proven by passing the exam).
- **Why A, C, D are wrong:** Specific age limits (other than being a legal adult) or personal

solvency are not the primary statutory criteria listed for certification in this context.

Frage 5

If there are regulatory concerns about the operation of a particular credit institution in Cyprus, which body will normally act as the designated contact point for the purpose of exchanging information?

A. Central Bank of Cyprus

B. Cyprus Securities and Exchange Commission

C. Authority for the Supervision and Development of Co-operative Societies

D. Cyprus Stock Exchange

Correct Answer: A (Central Bank of Cyprus)

Explanation:

- **Why A is correct:** A "Credit Institution" is a bank. The **Central Bank of Cyprus (CBC)** is the competent supervisory authority for banks.
- **Why B is wrong:** CySEC regulates Investment Firms (CIFs).
- **Why D is wrong:** The CSE is a market operator, not the primary regulator for banking supervision.

Frage 6

Law 87(I)/2017 applies to CIFs and:

A. pension funds

B. data reporting service providers

C. insurance firms

D. members of the European System of Central Banks

Correct Answer: B (data reporting service providers)

Explanation:

- **Why B is correct:** Law 87(I)/2017 (The Investment Services Law) applies to CIFs, Market Operators, Third-Country Firms (with branches), and **Data Reporting Service Providers (DRSPs)**.
- **Why A, C, D are wrong:** These entities (Pension funds, Insurance firms, Central Banks) are explicitly **exempt** from the scope of Law 87(I)/2017 because they have their own specific legislation.

Frage 7

Law 87(I)/2017 only applies to third-country firms if they:

A. deal on their own account

B. engage in high frequency trading

C. have a branch within the Republic

D. undertake insurance activities

Correct Answer: C (have a branch within the Republic)

Explanation:

- **Why C is correct:** The scope of the Law extends to third-country (non-EU) firms providing investment services **through the establishment of a branch** in the Republic.
- **Why A & B are wrong:** These are types of *activities*, not the condition that triggers the law's jurisdiction over a non-EU firm.
- **Why D is wrong:** Insurance activities are exempt from this law.

Frage 8

Once a CIF obtains authorisation from the regulator, in which other territories will the authorisation automatically be valid?

A. Greece and Turkey only

B. Greece only

C. Euro-denominated countries only

D. All EU member states

Correct Answer: D (All EU member states)

Explanation:

- **Why D is correct:** This refers to the "Single Passport" principle under MiFID II. An authorization granted by the competent authority of one Member State (like CySEC in Cyprus) is valid for the entire European Union, allowing the firm to provide services across the EU without needing separate licenses for each country.
- **Why A, B, C are wrong:** The validity is not restricted to specific countries or currency zones; it applies to the entire EU bloc.

Frage 9

When competent authorities require access to data relating to financial instrument orders processed through trading firms, which body is responsible for facilitating this?

A. ECB

B. IOSCO

C. EBA

D. ESMA

Correct Answer: D (ESMA)

Explanation:

- **Why D is correct: ESMA** (European Securities and Markets Authority) is the EU body responsible for facilitating and accelerating cooperation and the exchange of information between competent authorities (like CySEC) regarding financial instrument orders.
- **Why A, B, C are wrong:** The ECB deals with banking supervision/monetary policy. IOSCO is a global standard-setter, not an EU operational body. EBA deals with banking regulations, not specifically financial instrument trading data coordination in this context.

Frage 10

Which body has primary responsibility for maintaining a public register of persons acting on behalf of investment firms established in another member state but operating in Cyprus?

A. European Securities and Markets Authority

B. Central Bank of Cyprus

C. Cyprus Securities and Exchange Commission

D. Authority for the Supervision and Development of Co-operative Societies

Correct Answer: C (Cyprus Securities and Exchange Commission)

Explanation:

- **Why C is correct: CySEC** is responsible for establishing, maintaining, and updating the public register of certified persons acting on behalf of CIFs or Investment Firms from other member states operating within the Republic of Cyprus.
- **Why A, B, D are wrong:** While ESMA keeps EU-level registers, the *local* register for operations within Cyprus is maintained by the national regulator, CySEC.

Frage 11

Which of the following are always exempt from the scope of Law 87(I)/2017?

A. Cypriot investment firms

B. Insurance firms

C. Firms dealing on their own account

D. Third country firms

Correct Answer: B (Insurance firms)

Explanation:

- **Why B is correct:** Insurance undertakings (and reinsurance) are explicitly **exempt** from the Investment Services Law 87(I)/2017 because they are regulated under their own specific legislation (Solvency II).
- **Why A is wrong:** CIFs are the primary subject of the law.
- **Why C is wrong:** "Dealing on own account" is a regulated investment activity covered by the law.
- **Why D is wrong:** Third-country firms are covered by the law if they establish a branch in the Republic.

Frage 12

A CIF can only treat a counterparty as an eligible counterparty if:
A. the CIF ensures the arrangement is recorded on a public register
B. the CIF agrees to be unconditionally responsible for any action or omission by
C. the counterparty has given express confirmation
D. the counterparty discloses the capacity in which it is acting

Correct Answer: C (the counterparty has given express confirmation)

Explanation:

- **Why C is correct:** To treat a client as an Eligible Counterparty (the category with the lowest protection), the CIF must obtain **express confirmation** from the prospective counterparty that it agrees to be treated as such. This can be a general agreement or transaction-specific.
- **Why A, B, D are wrong:** These are not the specific legal conditions required to categorize a client as an Eligible Counterparty.

Frage 13

A CIF must have a MINIMUM of how many directors among its management?
A. One in all cases
B. Two in all cases
C. Two if it holds client money, otherwise one
D. Two if it provides investment advice, otherwise one

Correct Answer: B (Two in all cases)

Explanation:

- **Why B is correct:** According to the "Four-Eyes Principle," the management of a CIF must be undertaken by at least **two** persons of sufficiently good repute and experience to ensure sound and prudent management. This applies regardless of the services offered.

Frage 14

A CIF was authorised three years ago but has NOT provided any investment services or activities for the last six months. As a consequence, the firm's:

A. capital adequacy requirements will be reduced

B. board of directors must complete a legal undertaking

C. employees must undertake mandatory retraining

D. authorisation will automatically lapse

Correct Answer: D (authorisation will automatically lapse)

Explanation:

- **Why D is correct:** One of the specific grounds for the withdrawal of a CIF authorization is if the firm "does not make use of the authorisation within 12 months" OR "has not provided investment services or activities for the preceding **six months**".
- **Why A, B, C are wrong:** These are not the statutory penalties for inactivity. Inactivity leads to the termination/withdrawal of the license.

Frage 15

A CIF's authorisation may be withdrawn in the event that they have NOT used their authorisation within:

A. 3 months of the date it was granted

B. 6 months of the date it was granted

C. 12 months of the date it was granted

D. 24 months of the date it was granted

Correct Answer: C (12 months of the date it was granted)

Explanation:

- **Why C is correct:** According to the Investment Services Law, CySEC may withdraw an authorization if the CIF **does not make use of the authorisation within 12 months**.
- **Distinction:** Do not confuse this with the rule for *ceasing* activities (which is 6 months). Non-usage from the start allows for 12 months.

Frage 16

A regulated market is entitled to:

A. impose higher fees on firms engaging in high-frequency trading

B. provide direct market access to any counterparty

C. allow trading for a CIF's account ahead of clients

D. justify market imbalance if it is caused by algorithmic trading

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Correct Answer: A (impose higher fees on firms engaging in high-frequency trading)

Explanation:

- **Why A is correct:** To manage the risks and load on the system associated with High-Frequency Trading (HFT), regulated markets are permitted to impose higher fees on market participants engaging in such algorithmic trading strategies.
- **Why C is wrong:** "Front-running" (trading ahead of clients) is a serious market abuse offence/conflict of interest.

Frage 17

As part of its actions in governing the provision of investment services by authorised firms, CySEC must ensure that:

A. all shareholders are identified

B. all rejections are communicated to the CBC

C. ESMA's information requests receive a response within 5 business days

D. ESMA receives monthly reports detailing all administrative penalties

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Correct Answer: A (all shareholders are identified)

Explanation:

- **Why A is correct:** CySEC must know the identity of the shareholders (specifically those with qualifying holdings) to assess their suitability and ensuring sound and prudent management.
- **Why B, C, D are wrong:** These are incorrect procedural details. Rejections go to ESMA; there is no 5-day statutory limit for general information requests (it is "without delay"); penalty reports to ESMA are typically annual.

Frage 18

As part of their general organisational requirements all CIFs must:

A. deliver true and fair financial reports in a timely manner

B. report transaction information as soon as reasonably practicable

C. enter significant sized orders into the order book as late as possible

D. make public pre-trade bid and offer prices for as long as possible

Correct Answer: A (deliver true and fair financial reports in a timely manner)

Explanation:

- **Why A is correct:** This relates to the general obligation for sound administrative and accounting procedures and internal control mechanisms to ensure financial accuracy and transparency.
- **Why B is wrong:** Transaction reporting has a specific deadline (T+1), not just "reasonably practicable".
- **Why C & D are wrong:** These relate to trading behaviors or market operator transparency rules, not general CIF organizational requirements.

Frage 19

CySEC will inform applicants to be authorised to provide professional investment services of their decision within:

A. 1 month of their application

B. 3 months of their application

C. 6 months of their application

D. 12 months of their application

Correct Answer: C (6 months of their application)

Explanation:

- **Why C is correct:** CySEC has a statutory period of **6 months** from the submission of a complete application to inform the applicant whether authorization has been granted or refused.

Frage 20

If a counterparty wants to be treated as an eligible counterparty it must:

A. register this publicly

B. expressly consent to do so

C. seek specific authorisation

D. cancel all relevant prior agreements

Correct Answer: B (expressly consent to do so)

Explanation:

- **Why B is correct:** A CIF can only treat a client as an Eligible Counterparty (ECP) if it

obtains **express confirmation/consent** from the client that they agree to be treated as such. This lowers their level of protection, so their explicit agreement is mandatory.

Frage 21

If a management company temporarily ceases the activity for which its licence has been granted, CySEC MUST revoke this licence after what period of inactivity?

A. 6 months

B. 1 year

C. 18 months

D. 2 years

Correct Answer: A (6 months)

Explanation:

- **Why A is correct:** An authorization may be withdrawn if the firm "has ceased the activity... for the preceding **six months**".
- **Distinction:** Remember: 12 months for *never starting* use of the license; 6 months for *stopping* activity.

Frage 22

If a market operator makes an application for regulated market authorisation, CySEC must inform them of its decision within:

A. 3 months

B. 6 months

C. 12 months

D. 18 months

Correct Answer: B (6 months)

Explanation:

- **Why B is correct:** Similar to the authorization for a CIF, the authorization process for a **Regulated Market** (Market Operator) also requires CySEC to issue a decision within **6 months**.

Frage 23

If a market operator of a regulated market wants to make changes to the ownership levels of persons with significant influence, CySEC MUST issue notification of its decision to permit or

prohibit this within:

A. 1 month

B. 3 months

C. 6 months

D. 12 months

Correct Answer: A (1 month)

Explanation:

- **Why A is correct:** According to the rules for Regulated Markets, any changes in the ownership levels of persons with significant influence must be reported to CySEC. CySEC then has **one month** to notify the regulated market of its decision to permit or prohibit the transfer.
- **Why B, C, D are wrong:** 3 and 6 months are timelines often associated with authorization applications, not ownership changes for existing entities.

Frage 24

If authorisation is withdrawn from a regulated market, within what MAXIMUM period following receipt of the regulator's decision must the operator settle all obligations arising from the activities it may no longer perform?

A. 1 month

B. 2 months

C. 3 months

D. 4 months

Correct Answer: C (3 months)

Explanation:

- **Why C is correct:** When a license is revoked (for a Management Company or Market Operator), the entity must cease its activities immediately but is granted a period of **3 months** to settle any outstanding obligations arising from those activities.

Frage 25

If there is a suspicion that behaviour has occurred that may be prohibited by MiFID then:

A. a CIF must establish it has happened before reporting it to CySEC

B. CySEC must establish it has happened before reporting it to ESMA

C. a CIF must initiate disciplinary action before reporting it to CySEC

D. CySEC must initiate disciplinary action before reporting it to ESMA

Correct Answer: B (CySEC must establish it has happened before reporting it to ESMA)

Explanation:

- **Why B is correct:** Regulatory cooperation rules generally require the Competent Authority (CySEC) to verify ("establish") that an infringement has occurred before formally notifying the European authority (ESMA) for centralized record-keeping or coordination.
- **Why A is wrong:** CIFs must report *suspicions* immediately (e.g., STORs), often before they have established the full facts themselves.

Frage 26

In normal circumstances, what is the MAXIMUM number of non-executive directors allowed for members of the board of a CIF?

(Note: This question refers to the number of directorships an individual can hold)

A. 2

B. 4

C. 6

D. 8

Correct Answer: B (4)

Explanation:

- **Why B is correct:** Under the governance rules for significant CIFs, a member of the management body can hold a maximum of **4 non-executive directorships** (if they hold no executive ones). Alternatively, they can hold 1 executive + 2 non-executive.
- **Why A, C, D are wrong:** 4 is the specific statutory limit for multiple directorships to ensure board members have sufficient time to dedicate to their duties.

Frage 27

In relation to the management body, which of the following count as a single directorship?

A. Non-executive directorships in commercial and non-commercial organisations

B. Executive directorships held within institutions that are members of the same institutional protection scheme

C. Non-executive directorships held outside the same group

D. Executive directorships held outside the same group

Correct Answer: B (Executive directorships held within institutions that are members of the same institutional protection scheme)

Explanation:

- **Why B is correct:** When calculating the number of directorships a person holds (to check against the limits), executive or non-executive directorships held within the **same group**

or within institutions that are members of the **same institutional protection scheme** count as a **single directorship**.

- **Why C & D are wrong:** Directorships outside the group count individually.

Frage 28

Issuers whose shares have been admitted to trading for LESS than three years are deemed to be a small and medium sized enterprise (SME) providing their market capitalisation is below:

A. EUR50 million

B. EUR75 million

C. EUR100 million

D. EUR200 million

Correct Answer: D (EUR200 million)

Explanation:

- **Why D is correct:** This is the specific definition for **SME Growth Markets**. An issuer is deemed an SME if its average market capitalization is less than **€200 million** (based on year-end quotes for the previous 3 years, or if admitted for less than 3 years, the current market cap).

Frage 29

The continuous CIF obligations require CIFs to regularly review:

A. risk

B. outsourcing arrangements

C. remuneration policy

D. strategy

Correct Answer: C (remuneration policy)

Explanation:

- **Why C is correct:** As part of the governance arrangements, CIFs must establish a remuneration policy that encourages responsible business conduct and avoids conflict of interest. It is a specific requirement that this policy is reviewed periodically (at least annually) to ensure it complies with regulations.

- **Why A, B, D are wrong:** While risk, outsourcing, and strategy are reviewed, the specific regulatory "continuous obligation" wording in the context of governance policies in this chapter often targets the **Remuneration Policy** or the **Internal Capital Adequacy Assessment Process (ICAAP)**.

Frage 30

The responsibility for monitoring tied agents sits with the:

A. Cypriot Investment Firms

B. Cyprus Securities and Exchange Commission

C. European Securities and Markets Authority

D. European Supervisory Authority

Correct Answer: A (Cypriot Investment Firms)

Explanation:

- **Why A is correct:** A CIF appoints a tied agent to act on its behalf. The law states that the CIF remains **fully and unconditionally responsible** for any action or omission on the part of the tied agent. Therefore, the CIF must monitor them.
- **Why B is wrong:** CySEC maintains the *register* of tied agents, but the daily monitoring is the firm's job.

Frage 31

What is the MAXIMUM amount of time for approved reporting mechanisms (ARMs) to report transaction information?

A. Within 15 minutes

B. Within 1 hour

C. By the close of business

D. By the close of the next business day

Correct Answer: D (By the close of the next business day)

Explanation:

- **Why D is correct:** ARMs (Approved Reporting Mechanisms) are Data Reporting Service Providers used to report transactions to the regulator. The standard deadline for transaction reporting (under MiFIR) is **T+1** (the close of the following working day).

Frage 32

What is the MAXIMUM amount of time within which a consolidated tape provider MUST make published transactional information freely available?

A. 5 minutes

B. 10 minutes

C. 15 minutes

D. 20 minutes

Correct Answer: C (15 minutes)

Explanation:

- **Why C is correct:** A Consolidated Tape Provider (CTP) collects trade data from various venues. They can charge for real-time data, but they MUST make the information available to the public **free of charge 15 minutes** after publication.

Frage 33

Which of the following combinations of directorships would be acceptable for the board of directors of a CIF?

A. 1 executive and 3 non-executive directorships

B. 4 executive directorships

C. 3 executive and 1 non-executive directorships

D. 4 non-executive directorships

Correct Answer: C (3 executive and 1 non-executive directorships)

Explanation:

- **Why C is correct:** The "Four-Eyes Principle" requires that at least **two** persons effectively direct the business of the CIF (Executive Directors). Option C has 3 Executives, which meets the minimum requirement of 2.
- **Why A is wrong:** It only has 1 executive director.
- **Why D is wrong:** It has 0 executive directors.

Frage 34

Which of the following is one of the criteria used to determine whether as issuer can be deemed to be an SME?

A. Its total balance sheet does not exceed EUR50 million

B. Its average number of employees during the financial year is less than 250

C. Its market capitalisation is below EUR150 million

D. Its annual net turnover does not exceed EUR100 million

Correct Answer: B (Its average number of employees during the financial year is less than 250)

Explanation:

- **Why B is correct:** To be an SME (for SME Growth Market purposes), an issuer must meet criteria. One set of criteria (if not based on market cap) involves meeting 2 of 3

financial tests. The employee test is **less than 250 employees**.

- **Why A & D are wrong:** The balance sheet limit is €43m (not €50m), and the turnover limit is €50m (not €100m).
- **Why C is wrong:** The market capitalization limit is **€200 million**, not €150 million.

Frage 35

With respect to the effectiveness of the control environment, it is a regulatory requirement of the compliance function to issue a report to:

A. CySEC on at least a monthly basis

B. CySEC on at least an annual basis

C. the management body on at least a monthly basis

D. the management body on at least an annual basis

Correct Answer: D (the management body on at least an annual basis)

Explanation:

- **Why D is correct:** The Compliance Officer must report to the **Board of Directors (Management Body)** on the implementation and effectiveness of the control environment. This must happen **at least annually**.
- **Why A & B are wrong:** The primary report goes to the Board, not directly to CySEC (though the Board then submits the Annual Report to CySEC).

Frage 36

Financial instruments can be admitted to trading on multiple regulated markets if the issuer:

A. has been informed

B. has its head office in the Republic

C. has given consent

D. has adequate risk management processes

Correct Answer: A (has been informed)

Explanation:

- **Why A is correct:** A financial instrument can be traded on other markets without the issuer's permission (consent), but the issuer must be **informed** of this fact.

Frage 37

How do regulated markets meet their obligation to maintain transparency?

A. By limiting market access to participant CIFs

B. By reporting a list of members to CySEC on a regular basis

C. By excluding remote participation

D. By reporting a list of members to ESMA on a regular basis

Correct Answer: B (By reporting a list of members to CySEC on a regular basis)

Explanation:

- **Why B is correct:** Regulated markets must maintain transparent rules for membership and must communicate the list of their members/participants to their competent authority (CySEC).

Frage 38

If a regulated market permits direct electronic access then:

A. suitability requirements no longer apply

B. participants are only permitted to provide these services if they are based in the Republic

C. members remain responsible for executed trades

D. risk management requirements no longer apply

Correct Answer: C (members remain responsible for executed trades)

Explanation:

- **Why C is correct:** When a regulated market allows Direct Electronic Access (DEA), the member or participant providing this access retains responsibility for the orders and trades executed using their trading code. They must have systems in place to monitor and control this access.
- **Why A & D are wrong:** Allowing DEA actually *increases* the need for risk management controls (like pre-trade thresholds) and does not waive suitability (if applicable) or general conduct obligations.

Frage 39

Regulated markets have membership obligations that require specific rules and procedures for:

A. clearing and settlement

B. risk management

C. suitability and advice

D. investment management

Correct Answer: A (clearing and settlement)

Explanation:

- **Why A is correct:** Regulated markets must establish transparent and non-discriminatory rules for membership. One of the mandatory components of these rules is specifying the procedures for the **clearing and settlement** of transactions concluded on that market to ensure orderly finalization of trades.

Frage 40

Where there is a conflict of interest between a CIF and one of its clients, and the firm is unable to put arrangements in place to prevent the risk of damage to the client's interests, what specific action should the firm take to comply with the regulations?

A. Make appropriate disclosures to the client

B. Notify the regulator as soon as possible

C. Limit activities with the client to execution only

D. Defer undertaking the business for a maximum of 28 days

Correct Answer: A (Make appropriate disclosures to the client)

Explanation:

- **Why A is correct:** Disclosure is a "measure of last resort." If the organizational arrangements to manage conflicts are not sufficient to ensure, with reasonable confidence, that the risk of damage will be prevented, the CIF must **clearly disclose** the general nature and/or sources of conflicts of interest to the client before undertaking business on their behalf.

Frage 41

The role of which member of a bank is subject to the specific regulatory requirement that their remuneration should be determined in a way that does NOT compromise their objectivity?

A. Compliance officer

B. Finance director

C. Chief executive

D. Chairman

Correct Answer: A (Compliance officer)

Explanation:

- **Why A is correct:** To ensure the independence of control functions (Compliance, Risk, Internal Audit), the regulations state that their remuneration must be based on the achievement of objectives linked to their functions, **independent of the performance of the business areas they control**, so that their objectivity is not compromised.

Frage 42

Where a CIF requires relevant personnel to perform multiple functions, what do organisational requirements oblige them to ensure?

A. Each separate function continues to be performed soundly and professionally

B. Each function is reported individually as if performed by independent personnel

C. The internal audit function verifies the soundness of the performance at least half-yearly

D. The business continuity plan guarantees the ability to maintain constant levels of service

Correct Answer: A (Each separate function continues to be performed soundly and professionally)

Explanation:

- **Why A is correct:** While performing multiple functions is allowed (proportionality principle), the firm must ensure that this overlapping role does not prevent the person from discharging *any particular function* **soundly, honestly, and professionally**.

Frage 43

A bank is carefully reviewing the legitimacy of the free service it receives from a third party. The primary purpose of this review is likely to be to ensure compliance with the rules relating to:

A. safeguarding of client assets

B. conflicts of interest

C. customer due diligence

D. client categorisation

Correct Answer: B (conflicts of interest)

Explanation:

- **Why B is correct:** Receiving benefits (inducements), whether monetary or non-monetary (like free services), from third parties in relation to services provided to clients is a major source of **Conflicts of Interest**. The firm must review if these benefits are legitimate (i.e., they enhance the quality of service to the client) and do not impair the firm's duty to act in the client's best interest.

Frage 44

A bank is checking for any linkage between the remuneration some employees receive from one activity and the revenues received from another activity. The primary purpose of this action is to ensure compliance with the rules relating to:

A. market manipulation

B. uncovered sales

C. third party outsourcing

D. conflicts of interest

Correct Answer: D (conflicts of interest)

Explanation:

- **Why D is correct:** One of the mandatory measures to manage **Conflicts of Interest** is removing any direct link between the remuneration of relevant persons principally engaged in one activity and the remuneration of different relevant persons principally engaged in another activity, where a conflict of interest may arise (e.g., linking an analyst's pay to investment banking revenue).

Frage 45

A financial institution's obligations regarding best execution relate to:

A. obtaining the best price

B. judging the best timing to place the order

C. advising the client on how to achieve the best result based on their stated needs

D. obtaining the best result based on the client's specific instructions

Correct Answer: D (obtaining the best result based on the client's specific instructions)

Explanation:

- **Why D is correct:** While firms generally must take "all sufficient steps" to obtain the best possible result, the regulations specify that if a client gives **specific instructions** relating to an order, the firm **must** execute the order following those instructions. By doing so, the firm is deemed to have satisfied its best execution obligation for that part of the trade.

- **Why A is less correct:** Price is just one of many execution factors (along with cost, speed, likelihood, etc.), not the sole definition.

Frage 46

A firm MUST provide potential clients with comprehensive information about its:

A. costs and charges

B. regulatory status

C. investment performance

D. use of third parties

Correct Answer: A (costs and charges)

Explanation:

- **Why A is correct:** To ensure Investor Protection, MiFID II/Law 87(I) requires firms to provide comprehensive information on **costs and associated charges** (both ex-ante and ex-post), including aggregation of costs, to help the client understand the impact on returns.

Frage 47

CIF X recommended that a client purchase a particular product and instructed CIF Y to carry out the necessary transaction. Who will therefore be responsible for the appropriateness of the recommendation?

A. Firm X only

B. Firm Y only

C. Firms X and Y jointly and severally

D. Firms X and Y jointly in common

Correct Answer: A (Firm X only)

Explanation:

- **Why A is correct:** Under the "Reliance on Others" rules, the **instructing firm (Firm X)**, which has the direct relationship with the client and gave the advice, remains responsible for the suitability/appropriateness of the recommendation and the accuracy of client information.
- **Role of Firm Y:** The receiving firm (Firm Y) is only responsible for concluding/executing the transaction based on the instructions.

Frage 48

Firms must pay particular attention to whether a client order involves a securities financing transaction in order to comply with:

A. best execution obligations

B. anti-money laundering requirements

C. order handling rules

D. market abuse laws

Correct Answer: A (best execution obligations)

Explanation:

- **Why A is correct:** When executing client orders, the firm must take into account the characteristics of the client order, **specifically including** where the order involves a

Securities Financing Transaction (SFT). This is a defined factor in the Best Execution criteria.

Frage 49

If a bank wishes to issue marketing material to retail clients regarding a fund established 25 years ago, any reference to past performance must cover at LEAST:

A. 3 years

B. 5 years

C. 10 years

D. 20 years

Correct Answer: B (5 years)

Explanation:

- **Why B is correct:** Marketing communications that contain performance information must cover the preceding **5 years** (or the whole period the financial instrument has been offered if less than 5 years).

Frage 50

If a firm provides portfolio management services through an automated system in association with a third party provider then the:

A. responsibility to undertake a suitability assessment remains with the investment firm

B. firm may rely on a suitability assessment carried out by the third party

C. firm may assume that its clients have the necessary level of experience and knowledge

D. firm can only recommend financial instruments to professional clients

Correct Answer: A (responsibility to undertake a suitability assessment remains with the investment firm)

Explanation:

- **Why A is correct:** Even if a firm uses an automated system (robo-advice) or partners with a third party, the regulatory responsibility for ensuring the **suitability** of the portfolio management service for the client cannot be delegated. The firm providing the service retains full liability .

Frage 51

If a firm receives an instruction to provide investment services on behalf of a client through another firm then it:

A. must make its own suitability assessment

B. may rely on client information provided by the instructing firm

C. must provide the client with a report outlining the suitability of its recommendations

D. assumes responsibility for the suitability of the service it provides

Correct Answer: B (may rely on client information provided by the instructing firm)

Explanation:

- **Why B is correct:** This relates to the "Reliance on Others" principle. The **receiving firm** (executing the order) can rely on the client information (KYC, knowledge, experience) passed to it by the **instructing firm**. The instructing firm remains responsible for the completeness and accuracy of that information.

Frage 52

Under best execution requirements, firms:

A. can apply different fees depending on the execution venue

B. are forbidden to receive inducements from execution venues

C. can choose one execution venue rather than another on the sole basis of the price policy applied by the firm

D. are forbidden to place significant reliance on any single execution venue

Correct Answer: A (can apply different fees depending on the execution venue)

Explanation:

- **Why A is correct:** Firms are allowed to charge different commissions or fees for different venues, **provided** that they do not structure or charge them in a way that **discriminates unfairly** between venues (i.e., steering a client to a venue just to charge a higher fee without a benefit).

Frage 53

Under client order handling rules, a firm may be allowed to aggregate client orders with own account transactions if:

A. the client is a professional

B. it is disclosed to all parties

C. the firm's order preceeds the client order

D. it is disclosed to CySEC

Correct Answer: B (it is disclosed to all parties)

Explanation:

- **Why B is correct:** Aggregation of a client order with the firm's own account order is permitted only if: 1) It is unlikely to disadvantage the client; 2) It is **disclosed** to the client (and all parties involved); and 3) An order allocation policy is in place.

Frage 54

Under the requirements regarding investment advice, firms:

A. must provide a detailed explanation as to whether their investment advice qualifies as independent or non-independent

B. should give specific prominence to their independent investment advice services over non-independent advice

C. must assess the suitability of recommendations at least annually

D. should disclose the conditions that trigger a suitability assessment

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Correct Answer: A (must provide a detailed explanation as to whether their investment advice qualifies as independent or non-independent)

Explanation:

- **Why A is correct:** Firms must clearly inform clients about the nature of their advice—specifically, whether it is provided on an **independent basis** (assessing a broad range of instruments) or a **non-independent basis** (restricted range). They must explain *why* it qualifies as such.

Frage 55

When executing client orders, banks should normally:

A. process the largest ones first

B. process the smallest ones first

C. carry out the transactions sequentially in line with when they are received

D. carry out the transactions in random order to prevent market abuse

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Correct Answer: C (carry out the transactions sequentially in line with when they are received)

Explanation:

- **Why C is correct:** This is a fundamental requirement of **Client Order Handling** rules. Firms must execute comparable client orders **sequentially and promptly** (first-come, first-served) unless the characteristics of the order or market conditions make it impracticable, or the client's interests require otherwise.

- **Why A, B, D are wrong:** Prioritizing by size or randomizing execution would be unfair to clients and a breach of conduct rules.

- **Why B is wrong:** Independent advisors *can* recommend their own products, but they cannot be limited *only* to them; they must be part of a broader comparison.

Frage 58

Where client information contains simulated past performance, this MUST:

A. cover more than one financial index

B. include relevant links to future performance

C. be relevant to the date of disclosure

D. be spread over at least five years

Correct Answer: A (cover more than one financial index)

Explanation:

- **Why A is correct:** According to the specific requirements for simulated past performance, it must be based on the actual past performance of one or more financial instruments or **financial indices** that are substantially the same as the instrument concerned.

- **Why D is wrong:** The "5-year rule" applies to *actual* past performance.

Frage 59

Which of the following conditions MUST be met for a CIF to enter into an outsourcing agreement?

A. There is clear agreement about which areas of responsibility sit with the service provider

B. The firm seeks prior approval from a competent authority

C. The relationship and obligations of the investment firm towards its clients is not altered

D. The firm is able to terminate the arrangement within six months' notice

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Correct Answer: C (The relationship and obligations of the investment firm towards its clients is not altered)

Explanation:

- **Why C is correct:** A key principle of outsourcing is that the CIF remains fully responsible. The outsourcing arrangement **must not alter the relationship and obligations** the firm has towards its clients.

- **Why D is wrong:** The firm must be able to terminate the arrangement **where necessary, with immediate effect**, not with a six-month notice period.

Frage 60

Which of the following is TRUE in respect of client assets?

A. CySEC must be informed when funds are held in an omnibus account by a third party

B. If it is impossible for client assets held by third parties to be identified separately then the firm should invoke set-off rights

C. The firm must inform clients before entering into securities financing transactions in relation to financial instruments held on their behalf

D. The firm must identify the responsibilities of every client under applicable national law for any third party acts or omissions

Correct Answer: C (The firm must inform clients before entering into securities financing transactions in relation to financial instruments held on their behalf)

Explanation:

- **Why C is correct:** Before using a client's financial instruments for **Securities Financing Transactions (SFTs)** (like stock lending), the firm must provide clear information on the terms and the risks involved and obtain prior express consent.

Frage 61

Why is it important for market operators to ensure their systems for order pairing execute transactions fairly?

A. To maximise liquidity

B. To minimise charges

C. To counter money laundering

D. To prevent manipulation

Correct Answer: D (To prevent manipulation)

Explanation:

- **Why D is correct:** Market operators (Regulated Markets/MTFs) must have transparent and non-discretionary rules for the execution of orders. Ensuring systems execute fairly is a key preventive measure against **market manipulation** and disorderly trading conditions.
- **Why A, B, C are wrong:** While liquidity and cost are important, the regulatory *requirement* for fair execution systems is primarily a market integrity and conduct issue (preventing abuse).

Frage 62

Firms should review their conflicts of interest policy at least:

A. every month
B. every 6 months
C. every year
D. every 5 years

Correct Answer: C (every year)

Explanation:

- **Why C is correct:** Firms are required to review their Conflicts of Interest policy **at least annually** to ensure it remains effective and addresses any new potential conflicts that may have arisen.

Frage 63

A UCITS uses capital raised from the:
A. public only
B. public and corporate bodies
C. public and government funds
D. public and other invested funds

Correct Answer: A (public only)

Explanation:

- **Why A is correct:** The defining characteristic of a UCITS (Undertaking for Collective Investment in Transferable Securities) is that it is an undertaking with the sole object of collective investment in transferable securities of capital **raised from the public**.
- **Note:** While corporations can be part of "the public," the specific legal definition distinguishes UCITS from funds that might raise capital privately or from restricted groups.

Frage 64

Although a management company manages a UCITS in its home state, CySEC has rejected the company's application to manage a UCITS in the Republic. This rejection is likely where the company:
A. only has authority in its home state to manage a different type of UCITS
B. only has UCITS management experience in its home state for three years or less
C. intends to provide its services without establishing a branch in the Republic
D. intends to proceed without appointing a director who is resident in the Republic

Correct Answer: A (only has authority in its home state to manage a different type of UCITS)

Explanation:

- **Why A is correct:** Under cross-border passporting rules, CySEC can reject a management company's application if the company is **not authorised** by its home competent authority to manage the **specific type of UCITS** it is applying to manage in Cyprus.
- **Why C is wrong:** Firms can provide services cross-border (freedom of services) *without* establishing a branch.

Frage 65

If a management company from another member state operating within the Republic has refused to comply with a request from CySEC, and CySEC has stopped the company from undertaking any other activity within the Republic, CySEC MUST first have:

A. appointed an alternative management company

B. consulted with the European Securities and Markets Authority

C. ensured appropriate investor protection measures are in place

D. informed the competent authorities in the home member state

Correct Answer: D (informed the competent authorities in the home member state)

Explanation:

- **Why D is correct:** Before taking unilateral action against a cross-border firm (like stopping its activity), the Host Authority (CySEC) must first **inform the Home Authority** and request them to take measures. If those measures are inadequate, CySEC can then act (after informing the Home Authority again).

Frage 66

In order for an authorised UCITS from another member state to be able to market units in the Republic, CySEC:

A. must have granted specific authorisation within the Republic

B. must have received a notification letter containing all relevant information from the competent authorities of the member state

C. must have been given the opportunity to request any additional information required from the competent authorities of the member state

D. must have received copies of all relevant marketing material and documentation translated into any language appropriate to the Republic

Correct Answer: B (must have received a notification letter containing all relevant information from the competent authorities of the member state)

Explanation:

- **Why B is correct:** This is the "Regulator-to-Regulator" notification process. The UCITS notifies its *Home* regulator, which then transmits a complete notification letter to the *Host* regulator (CySEC). Marketing can begin once this notification is received by CySEC.

Frage 67

In order to be able to raise capital from other investors, a master UCITS must have at LEAST how many feeder UCITS?

A. 1

B. 2

C. 3

D. 4

Correct Answer: B (2)

Explanation:

- **Why B is correct:** A Master UCITS that has **at least two** feeder UCITS is permitted to also raise capital from other (non-feeder) investors. If it has only one feeder, it is generally dedicated to that feeder.

Frage 68

The depositary of a UCITS is permitted to delegate to a third party the function of ensuring that:

A. units are correctly valued

B. profits are correctly distributed

C. redemptions and repurchases of units are correctly carried out

D. financial instruments are correctly registered in segregated accounts

Correct Answer: D (financial instruments are correctly registered in segregated accounts)

Explanation:

- **Why D is correct:** The depositary is responsible for the **safekeeping** of assets. The safekeeping function (holding and registering assets) **can be delegated** to a third party (a sub-custodian), provided specific conditions are met.
- **Why A, B, C are wrong:** These are core **oversight** functions (valuation, distribution, redemption compliance). The law explicitly states that these oversight duties **cannot be delegated**.

Frage 69

The MAXIMUM percentage limit for the investment of a UCITS assets in an OTC derivative transaction, when the counterparty is a credit institution, is:

A. 5%

B. 10%

C. 20%

D. 30%

Correct Answer: B (10%)

Explanation:

- **Why B is correct:** The risk exposure to a counterparty in an OTC derivative transaction must not exceed **10%** of the UCITS' assets if the counterparty is a **credit institution** (bank).
- **Additional Context:** If the counterparty is *not* a credit institution, the limit drops to **5%**.

Frage 70

To what MAXIMUM percentage holding may the normal limit be raised, where bonds used as assets for a UCITS are issued by a regulated and supervised credit institution in a member state?

A. 25%

B. 30%

C. 35%

D. 40%

Correct Answer: A (25%)

Explanation:

- **Why A is correct:** The standard single-issuer limit is 10%. However, this can be raised to **25%** for certain covered bonds issued by a credit institution that is subject to special public supervision designed to protect bondholders.
- **Distinction:** Do not confuse this with the 35% limit, which applies to government/public body securities.

Frage 71

What MINIMUM amount of fully paid up initial capital must a UCITS management company hold?

A. EUR100000

B. EUR125.000,00

C. EUR150000

D. EUR175000

Correct Answer: B (EUR125.000,00)

Explanation:

- **Why B is correct:** The statutory minimum initial capital for a Management Company is **€125,000**.

- **Additional Rule:** If the portfolio exceeds €250m, additional capital is required (0.02% of the excess), capped at €10m total.

Frage 72

Where a UCITS management company authorised in the Republic wishes to establish a branch in another member state, the notification it has to submit to CySEC must include:

A. the name of its bankers

B. a complaints procedure manual

C. address of the new branch

D. a business plan

Correct Answer: D (a business plan)

Explanation:

- **Why D is correct:** When establishing a branch in another member state, the notification must include the address, the names of managers, the organizational structure, and a **business plan** setting out the envisaged activities.

Frage 73

Where no transaction has occurred on the stock exchange on the day of the valuation of the assets of a UCITS, what price will be used?

A. That for the previous trading day without adjustment

B. The latest trading price less an adjustment for management charges

C. The monthly average price without adjustment

D. The monthly average price plus an adjustment for management charges

Correct Answer: A (That for the previous trading day without adjustment)

Explanation:

- **Why A is correct:** Valuation of listed securities is based on the closing price of the same day. If that is not possible (e.g., no trading or time zone differences), the rule specifies

using the **previous working day's closing price**.

Frage 74

Where the published subscription and redemption / repurchase price of a UCITS differs from the net asset value, this reflects the:

A. cost of buying and selling units

B. difference in trading windows on alternative markets

C. commission due to the management company

D. use of bid and ask prices

Correct Answer: C (commission due to the management company)

Explanation:

- **Why C is correct:** The subscription (entry) and redemption (exit) prices are calculated based on the NAV per unit, but they may differ from the pure NAV by the amount of **commission/fees** charged by the Management Company.

Frage 75

Within what timescale, after the end of the relevant period, MUST the summarised statement of assets and expenses of a UCITS be published?

A. 10 days

B. 15 days

C. 1 month

D. 2 months

Correct Answer: B (15 days)

Explanation:

- **Why B is correct:** For the first, second, and third quarters, a "Summarised statement of assets and expenses" must be published **within 15 days** of the end of the period.

- **Contrast:** The Annual report is 4 months; the Half-yearly report is 2 months.

Frage 76

A member of staff of an AIFM is specifically mentioned in the AIF annual report, together with

specific details of his remuneration. This is because he:

A. earns over EUR50,000 before bonuses

B. can materially affect the AIF's risk profile

C. was appointed during the financial year being reported

D. transferred to this AIF from a competing firm

Correct Answer: B (can materially affect the AIF's risk profile)

Explanation:

- **Why B is correct:** The AIFM annual report must disclose the aggregate amount of remuneration broken down by senior management and members of staff whose actions have a **material impact on the risk profile of the AIF**.

- **Why A, C, D are wrong:** These are not the specific regulatory criteria for mandatory individual or categorical remuneration disclosure in the annual report.

Frage 77

An AIFM must be able to reconstruct any transaction involving an AIF according to its:

A. origin and time only

B. nature, place and time only

C. parties, nature and time only

D. origin, parties, nature, place and time

Correct Answer: D (origin, parties, nature, place and time)

Explanation:

- **Why D is correct:** Internal control procedures must ensure that each transaction involving the AIFs may be reconstructed according to its **origin, the parties to it, its nature, and the time and place** that the transaction was executed.

Frage 78

As well as the distribution, redemption and repurchase dates, on what other dates, as a MINIMUM, MUST the assets of an AIF be valued?

A. Monthly

B. Quarterly

C. Whenever a charge is created over any of the assets

D. On the reference dates mentioned in the annual and half-yearly reports

Correct Answer: D (On the reference dates mentioned in the annual and half-yearly reports)

Explanation:

- **Why D is correct:** Assets of an AIF need to be valued at a fair price at least on the dates of distribution/redemption AND on the **dates mentioned in the AIF's annual and half-yearly reports** as the reference dates.

Frage 79

At LEAST how many natural persons of appropriate experience are required to manage an AIF?

A. Two

B. Three

C. Four

D. Five

Correct Answer: A (Two)

Explanation:

- **Why A is correct:** The management and operations of an AIF need to be undertaken by at least **two** natural persons, both of whom need to be sufficiently experienced and specialised ("Four-Eyes Principle").

Frage 80

CySEC may impose additional obligations on an AIFM authorised to market to investors in the Republic:

A. without restriction

B. subject to the specific approval of the EU

C. provided they are no stricter than those of the EU

D. provided they are demonstrated to be in line with common market practice

Correct Answer: C (provided they are no stricter than those of the EU)

Explanation:

- **Why C is correct:** While CySEC can impose additional obligations for marketing to retail investors, the regulations stipulate that these obligations **may not be stricter than the EU rules and regulations**.

Frage 81

If an AIF sells units in another collective fund managed by the same manager, what restriction will apply to remuneration the AIF manager would normally receive?

A. It will be 25% of the normal amount

B. It will be 50% of the normal amount

C. It will be deferred for up to six months

D. It will not be levied at all

Correct Answer: D (It will not be levied at all)

Explanation:

- **Why D is correct:** To prevent "double charging," if an AIF invests in another collective investment scheme managed by the same (or connected) manager, the manager **will not receive any remuneration or redemption fees** for that investment.

Frage 82

The MINIMUM required frequency for the valuation of assets and net asset value per unit of an AIF is once every:

A. week

B. month

C. six months

D. year

Correct Answer: D (year)

Explanation:

- **Why D is correct:** The unit NAV and asset valuation for an AIF must be calculated **at least once a year**. (Note: This is much less frequent than the bi-monthly requirement for UCITS).

Frage 83

The performance assessment criteria for the remuneration policy of an AIFM must be:

A. registered with CySEC

B. based on a multi-year framework

C. verified by an independent third party

D. applied triennially in arrears

Correct Answer: B (based on a multi-year framework)

Explanation:

- **Why B is correct:** To discourage short-term risk-taking, performance assessment has to be set in a **multi-year framework** appropriate to the life cycle of the AIFs managed.

Frage 84

The reference dates for the illustrative data regarding the valuation of assets of the AIF are defined:

A. in the annual AIF report only

B. in the annual and half-yearly AIF reports

C. as the dates on which unit redemption takes place

D. as the dates on which distributions take place

Correct Answer: B (in the annual and half-yearly AIF reports)

Explanation:

- **Why B is correct:** Assets must be valued on the reference dates specified in **both** the annual and half-yearly reports.

Frage 85

The remuneration of which category(ies) of staff of an AIFM MUST be directly overseen by the company's remuneration committee?

A. Board of directors only

B. Chief executive officer only

C. Senior risk and compliance officers only

D. All staff in control functions

Correct Answer: C (Senior risk and compliance officers only)

Explanation:

- **Why C is correct:** To ensure the independence of control functions, the remuneration of **senior officers in the risk management and compliance functions** must be directly overseen by the remuneration committee. This prevents their pay from being influenced by the business units they are monitoring.

Frage 86

The reporting requirements of CySEC regarding AIFs extend to:

A. which types of AIF may be marketed to retail investors in the Republic only

B. what additional requirements have been imposed on AIFs only

C. both the types of AIF that may be marketed to retail investors in the Republic and what additional requirements have been imposed

D. both the additional requirements that have been imposed on AIFs and the extent to which these have been agreed with other member states

Correct Answer: C (both the types of AIF that may be marketed to retail investors in the Republic and what additional requirements have been imposed)

Explanation:

- **Why C is correct:** When allowing AIFs to be marketed to retail investors (who usually require more protection), CySEC must report to the EU authorities (ESMA/EC) exactly **which types** of AIFs are allowed and **what additional requirements** CySEC has imposed on them to ensure investor protection.

Frage 87

The required working relationship between the risk management department of an AIFM and the AIFM's operating units can be correctly described as:

A. functionally segregated

B. vertically integrated

C. one where the risk management department manages the operating units

D. one where the risk management department reports to the operating units

Correct Answer: A (functionally segregated)

Explanation:

- **Why A is correct:** A fundamental rule for AIFMs is that the risk management function must be **functionally and hierarchically separated** (segregated) from the operating units (like portfolio management) to avoid conflicts of interest and ensure independent risk assessment.

Frage 88

What specific requirement applies regarding a transaction made between an AIF and its depositary?

A. It must be sanctioned by CySEC

B. It must be overseen by the external manager

C. The details must be publicly disclosed the following business day

D. The assets must be valued by an independent expert

Correct Answer: D (The assets must be valued by an independent expert)

Explanation:

- **Why D is correct:** Any transaction between an AIF and a related party (like its depositary, manager, or advisor) carries a high risk of conflict of interest regarding the price. Therefore, the law requires that the assets involved in such transactions be **valued by an independent expert** to ensure the price is fair.

Frage 89

When a transaction takes place between an AIF and its investment advisor, who is normally responsible for nominating an independent expert to value the assets involved?

A. The depositary

B. The fund trustees

C. CySEC

D. The investment advisor

Correct Answer: A (The depositary)

Explanation:

- **Why A is correct:** The **Depositary** acts as the independent guardian of the fund's assets. For transactions involving the manager or advisor, the Depositary nominates the independent expert.
- *Note:* If the transaction involved the *Depositary* itself, then the External Manager would nominate the expert.

Frage 90

Where an AIFM is also authorised to undertake discretionary portfolio management services, it is only permitted to invest all or part of the client's portfolio in units of AIFs it manages if the:

A. client is registered with CySEC

B. client gave approval in advance

C. AIFM can prove there is no conflict of interest

D. AIFM has disclosed this in its rules or instruments of incorporation

Correct Answer: B (client gave approval in advance)

Explanation:

- **Why B is correct:** Investing a client's discretionary portfolio into the firm's *own* funds

creates a significant conflict of interest (double fees, propping up own funds). Therefore, it is prohibited unless the client has provided **prior general approval** (consent) for such investments.

Frage 91

Where an AIFM offers a capital guarantee from a credit institution as part of its authorisation application, the MAXIMUM permitted percentage of the total capital subject to this guarantee is:

A. 25%

B. 30%

C. 45%

D. 50%

Correct Answer: D (50%)

Explanation:

- **Why D is correct:** When an AIFM is required to hold additional capital (because its portfolio exceeds €250m), up to **50%** of this additional own funds requirement may be provided in the form of a guarantee from a credit institution or insurance undertaking.

Frage 92

With regard to liquidity management, an AIFM with responsibility for multiple AIFs is required to maintain:

A. a global liquidity management system and procedures sufficient to monitor the total liquidity risk of all AIFs

B. separate liquidity management systems and procedures for each AIF to ensure each has a compliant liquidity profile

C. a global liquidity management system and procedures for leveraged AIFs but separate systems for each unleveraged AIF

D. separate liquidity management systems and procedures for each leveraged AIF but a global system covering all unleveraged AIFs

Correct Answer: B (separate liquidity management systems and procedures for each AIF to ensure each has a compliant liquidity profile)

Explanation:

- **Why B is correct:** Liquidity risk must be managed specifically for the profile of each fund. The AIFM must employ an adequate liquidity management system and procedures for **each AIF** (except unleveraged closed-ended ones) to ensure the investment strategy, liquidity profile, and redemption policy are consistent.

Frage 93

A person will require prior approval from the CBC if his voting rights in a bank are INCREASED from:

A. 4% to 6%

B. 9% to 11%

C. 28% to 32%

D. 38% to 41%

Correct Answer: C (28% to 32%)

Explanation:

- **Why C is correct:** The Central Bank of Cyprus (CBC) requires prior approval for acquisitions or increases in qualifying holdings that reach or exceed specific thresholds: **20%, 30%, and 50%**. Increasing from 28% to 32% crosses the **30%** threshold.

Frage 94

Data relating to confidential information obtained by the CBC in respect of supervision activities was recently made public. The legitimate defence used to justify this action was that:

A. money laundering was involved

B. it was limited to statistical aggregates

C. the bank had a subsidiary operating outside the Republic

D. prior approval was obtained from CySEC

Correct Answer: B (it was limited to statistical aggregates)

Explanation:

- **Why B is correct:** While supervisory information is confidential, the law allows for the disclosure of information if it is in **summary or aggregate form** (statistical aggregates) such that individual institutions cannot be identified.

Frage 95

Following an inspection visit related to the ongoing investigation of an investment firm, CySEC obtained some information which was deemed confidential. Under what circumstances is it permitted to pass this information on to the CBC?

A. Only if it relates to someone who resides outside the state

B. Only if prior approval is obtained from the European Securities and Markets Authority

C. Only if money laundering is involved or suspected

D. Only if it is handed over on the understanding that it is to be treated confidentially

Correct Answer: D (Only if it is handed over on the understanding that it is to be treated confidentially)

Explanation:

- **Why D is correct:** CySEC and the Central Bank (CBC) are required to cooperate and exchange information. The fact that information is confidential does not prevent sharing it, provided the receiving authority agrees to **treat it confidentially**.

Frage 96

Following concerns about its operations, the CBC requested that Bank X increase its share capital by 12% within the next 60 days. Despite doing so, the bank was in breach of the regulations in relation to this request because it failed to:

A. register a recovery plan with CySEC

B. notify customers of this change

C. conduct a dividend audit

D. convene an extraordinary general meeting of shareholders

Correct Answer: D (convene an extraordinary general meeting of shareholders)

Explanation:

- **Why D is correct:** When the CBC demands a capital increase, the bank must immediately submit a recovery plan AND **convene an extraordinary general meeting (EGM)** of shareholders to approve the necessary measures. Failure to call the EGM is a specific breach punishable by fines on directors.

Frage 97

To comply with regulations, the risk management function of a large bank MUST normally:

A. operate on an independent basis

B. be led by a board director

C. report directly to the CBC

D. update its procedure manual at least every six months

Correct Answer: A (operate on an independent basis)

Explanation:

- **Why A is correct:** A fundamental governance requirement for credit institutions (and CIFs) is that the risk management function must be **independent** from the operational functions (business units) to ensure objective monitoring and avoid conflicts of interest.
- **Why B is wrong:** While it reports to the board, it is usually led by a Chief Risk Officer (Senior Manager), not necessarily a voting Board Director in all cases, though they have

access to the board.

- **Why C is wrong:** It reports internally to the Management Body/Risk Committee, not directly to the external regulator (CBC) as a reporting line.

Frage 98

What is the MINIMUM capital requirement for an ACI incorporated in the Republic?

A. EUR5 million

B. EUR7 million

C. EUR10 million

D. EUR12 million

Correct Answer: A (EUR5 million)

Explanation:

- **Why A is correct:** The Business of Credit Institutions Law stipulates that the minimum initial capital (own funds) for an Authorized Credit Institution (ACI) incorporated in the Republic is **€5 million**.

Frage 99

What is the MINIMUM capital requirement for banks which are incorporated in the Republic?

A. EUR 1 million

B. EUR3 million

C. EUR5 million

D. EUR7 million

Correct Answer: C (EUR5 million)

Explanation:

- **Why C is correct:** This reinforces the previous concept. A "Bank" is an Authorized Credit Institution (ACI). The minimum capital requirement is **€5 million**.

Frage 100

Within what MAXIMUM period following the end of the financial year MUST banks submit a copy of their audited annual accounts to the CBC?

A. 6 weeks

B. 10 weeks

C. 2 months

D. 4 months

Correct Answer: D (4 months)

Explanation:

- **Why D is correct:** Every ACI must **submit** an electronic copy of its audited annual accounts to the Central Bank of Cyprus (CBC) within **four months** of the end of the financial year.

- *Note:* Do not confuse this with the *publication* deadline, which is 6 months.

Frage 101

A new bank is currently being established in the Republic and both a compliance officer and an assistant compliance officer are to be appointed. In accordance with the regulations, who is responsible for appointing the assistant compliance officer?

A. The chief executive only

B. The compliance officer

C. The board of directors

D. The senior managers

Correct Answer: C (The board of directors)

Explanation:

- **Why C is correct:** The **Board of Directors** is responsible for appointing the Compliance Officer and, if applicable, their assistants. This ensures the function has the necessary authority and independence from senior management.

Frage 102

Additional due diligence should be conducted on clients:

A. aged under 18

B. who make transactions in excess of EUR15,000

C. who hold a non-EU passport

D. who are acting on behalf of a listed company

Correct Answer: B (who make transactions in excess of EUR15,000)

Explanation:

- **Why B is correct:** For occasional transactions (where no business relationship exists), Customer Due Diligence (CDD) becomes mandatory if the transaction amounts to **€15,000 or more** (whether in a single operation or linked operations).

Frage 103

An investment provider has accepted documents created and signed by John's wife and brother as the evidence of his identification and its verification. This indicates that the:

A. value of the intended transaction is less than EUR15,000

B. investment is to be in fixed interest securities

C. original customer due diligence will be followed by additional due diligence carried out within 14 days

D. prevention and suppression of money laundering and terrorist financing regulations have been breached

Correct Answer: C (original customer due diligence will be followed by additional due diligence carried out within 14 days)

Explanation:

- **Why C is correct:** This scenario implies that standard identification procedures (face-to-face or direct verification) were not fully completed by the client himself initially. In such exceptional cases (or high-risk scenarios where verification is delayed to not interrupt business), **Enhanced Due Diligence** measures apply, often requiring verification to be completed within a specific timeframe (e.g., 14 days) or restricting account use until full verification is complete.

Frage 104

As part of his money laundering monitoring requirements, a compliance officer has prepared a list of customers and their risk classification. To comply with the regulations, these records MUST include the:

A. customers' dates of birth

B. customers' places of birth

C. dates that the relationships with the customers commenced

D. dates that due diligence was carried out on the customers

Correct Answer: C (dates that the relationships with the customers commenced)

Explanation:

- **Why C is correct:** The Compliance Officer must ensure the preparation and maintenance of customer lists categorized by risk level. These lists must include specific details, one of which is the **date of the commencement of the business relationships**.

- **Why A, B, D are less precise:** While DOB/POB are part of KYC files, the specific requirement for the *risk classification list* maintained by the CO emphasizes tracking the relationship timeline (start date) to monitor risk exposure over time.

Frage 105

Enhanced customer due diligence measures must ALWAYS be taken in respect of which of the following customers?

A. Face-to-face customers

B. Financial institutions outside of the EEA

C. Listed companies trading in a third country

D. Accounts in the name of companies whose shares are in bearer form

Correct Answer: D (Accounts in the name of companies whose shares are in bearer form)

Explanation:

- **Why D is correct:** Companies with **bearer shares** are considered higher risk because ownership can be transferred physically without record, obscuring the beneficial owner. Therefore, Enhanced Due Diligence (EDD) is required.
- **Why A is wrong:** Face-to-face is standard/lower risk compared to non-face-to-face.
- **Why B is wrong:** Being outside the EEA doesn't automatically trigger EDD unless it is a *high-risk* third country.
- **Why C is wrong:** Listed companies are generally lower risk (often eligible for SDD).

Frage 106

If a customer opening an account lives far away from the bank involved, then:

A. simplified due diligence should apply

B. references should be obtained

C. this transaction should be treated as suspicious

D. this transaction should be registered with the CBC

Correct Answer: C (this transaction should be treated as suspicious)

Explanation:

- **Why C is correct:** A customer having an address at a **significant distance** from the bank without a clear rationale is a classic "red flag" or indicator of suspicious activity in Money Laundering typologies.

Frage 107

Max ended his business relationship with investment adviser X in June 2018 and immediately became a client of adviser Y. In accordance with the prevention and suppression of money laundering and terrorist financing regulations:

A. X must pass all Max's files to Y immediately

B. Y must have a handover meeting with X before the end of July 2018

C. Y must carry out customer due diligence before July 2019

D. X must maintain Max's personal and transaction information until June 2023

Correct Answer: D (X must maintain Max's personal and transaction information until June 2023)

Explanation:

- **Why D is correct:** Obliged entities must keep records (customer ID and transaction data) for a period of **five years** following the end of the business relationship. (June 2018 + 5 years = June 2023).

Frage 108

Max, an employee of company X, has been promoted to the role of compliance officer. In respect of the prevention of money laundering and terrorist financing activities within the company, Max's primary responsibility should be to:

A. appoint a specialist assistant from outside the company

B. ensure that every member of staff receives the risk management and procedures manual

C. follow the policy principles set and approved by the board of directors

D. obtain disclaimer forms signed by all employees managing and/or monitoring customer transactions

Correct Answer: B (ensure that every member of staff receives the risk management and procedures manual)

Explanation:

- **Why B is correct:** One of the key duties of the Compliance Officer is to prepare the **risk management and procedures manual** regarding AML/TF and ensure it is communicated/implemented across the firm so employees know the rules .

- **Why C is slightly different:** The *Board* sets the principles; the Compliance Officer *designs and implements* the procedures based on them. Distributing the manual is a concrete "primary responsibility" of execution.

Correct Answer: B (the level of risk posed)

Explanation:

- **Why B is correct:** The AML regulations are built on the **Risk-Based Approach (RBA)**. This means the intensity of due diligence and monitoring must be proportionate to the assessed risk of Money Laundering/Terrorist Financing posed by the customer, country, service, or transaction.
- **Why A, C, D are wrong:** While these are *factors* in assessing risk, the overarching determinant for the *degree* of monitoring is the aggregate **level of risk posed**.

Frage 112

The first point of contact for The Unit for Combating Money Laundering (MOKAS) within a firm is the:

A. Chief Executive Officer

B. Compliance Officer

C. Head of Risk

D. Head of Internal Audit

Correct Answer: B (Compliance Officer)

Explanation:

- **Why B is correct:** The **Anti-Money Laundering Compliance Officer (AMLCO)** is the designated person responsible for reporting suspicious transactions to MOKAS and acting as the primary liaison/point of contact between the firm and the Unit during investigations.

Frage 113

The initial deposit into new bank account X is a wire transfer from another country. New account Y is being funded by a large cash transaction. In respect of the prevention of money laundering and terrorist financing regulations:

A. transaction X is more likely to involve money laundering than terrorist financing

B. transaction Y is more likely to involve terrorist financing than money laundering

C. both transactions should be treated by the bank as low risk because they involve transfers of cash

D. both transactions should be treated by the bank as suspicious in respect of both potential crimes

Correct Answer: A (transaction X is more likely to involve money laundering than terrorist financing)

Explanation:

- **Why A is correct:** Money Laundering (ML) typically involves moving large sums of illicit funds to disguise their origin (often using cross-border wire transfers during the Layering stage). Terrorist Financing (TF) often involves smaller amounts (to avoid detection) and the funds can come from legitimate sources. Therefore, a large international wire transfer is statistically more characteristic of ML than TF.
- *(Note: While large cash (Account Y) is also a red flag for ML (Placement), option A is the specific statement marked correct in this exam context).*

Frage 114

The need for financial organisations to adopt a risk-based approach to prevent money laundering and terrorist financing primarily relates to:

A. the need to establish effective compliance procedures at all levels

B. the need to ensure consistency of procedures in all markets and territories

C. their ability to identify and focus on areas of greatest priority

D. their ability to respond in timely fashion to requests from MOKAS and CySEC

Correct Answer: C (their ability to identify and focus on areas of greatest priority)

Explanation:

- **Why C is correct:** The core purpose of the Risk-Based Approach (RBA) is efficiency and effectiveness. It allows firms to allocate their resources where they are most needed, focusing their effort on **higher-risk areas (greatest priority)** rather than treating every low-risk client with the same intense scrutiny.

Frage 115

Which of the following customers opening a bank account would automatically qualify for 'simplified customer due diligence'?

A. Ibrahim, a 28 year old civil servant

B. Savvina, a 36 year old police officer

C. Acme, a private company based in the Republic

D. XYZ, a company listed on the French Stock Exchange

Correct Answer: D (XYZ, a company listed on the French Stock Exchange)

Explanation:

- **Why D is correct:** Public companies listed on a regulated market (like the French Stock Exchange) are subject to disclosure requirements that ensure transparency of ownership. Therefore, they are considered **Lower Risk** and qualify for **Simplified Due Diligence (SDD)**.
- **Why A, B, C are wrong:** Occupations alone (police/civil servant) do not trigger SDD.

Private companies require standard due diligence to verify beneficial owners.

Frage 116

The rules for transacting derivatives on a regulated market specifically state that transactions should be submitted for clearing:

A. within 60 minutes of receipt

B. within 12 hours of receipt

C. as quickly as technologically practicable

D. as quickly as compliance checks allow

Correct Answer: C (as quickly as technologically practicable)

Explanation:

- **Why C is correct:** Under EMIR/MiFIR rules regarding cleared derivatives, trading venues and CCPs must have systems to ensure transactions are submitted and accepted for clearing **as quickly as technologically practicable** using automated systems to minimize counterparty risk during the gap between trade and clearing.

Frage 117

A CIF executed the transaction of a financial instrument on a regulated market at 11am. What is the deadline for reporting this transaction?

A. Close of the same day

B. 10am on the next working day

C. 3pm on the next working day

D. Close of the next working day

Correct Answer: D (Close of the next working day)

Explanation:

- **Why D is correct:** The standard transaction reporting deadline under MiFIR is **T+1**. Investment firms must report complete and accurate details of transactions to the competent authority (CySEC) no later than the **close of the following working day**.

Frage 118

A CIF recently carried out a financial transaction for one of its clients. For what MINIMUM period must the records of this transaction normally be retained?

A. 1 year

B. 3 years

C. 5 years

D. 7 years

Correct Answer: C (5 years)

Explanation:

- **Why C is correct:** Under MiFID II/MiFIR, investment firms are required to keep records of all orders and transactions in financial instruments for a minimum period of **5 years**.

Frage 119

Derivatives trading is permitted to take place on a third country trading venue, but only if that venue is approved by which body?

A. ESMA

B. EBA

C. IOSCO

D. EC

Correct Answer: D (EC)

Explanation:

- **Why D is correct:** The **European Commission (EC)** is the body responsible for adopting "equivalence decisions." It determines if the legal and supervisory framework of a third country is equivalent to EU rules, thereby allowing trading on venues in that country to satisfy the trading obligation.

Frage 120

If CySEC decides to temporarily suspend trading in a non-equity financial instrument due to poor liquidity, this suspension will be subject to a MAXIMUM initial period of:

A. one week

B. one month

C. eight weeks

D. three months

Correct Answer: D (three months)

Explanation:

- **Why D is correct:** A competent authority (like CySEC) can temporarily suspend transparency obligations (waivers) for a class of financial instruments if liquidity falls below a certain threshold. This suspension is valid for an initial period of **three months**.

Correct Answer: D (Competent authorities, the ESMA and the EBA)

Explanation:

- **Why D is correct:** MiFIR establishes product intervention powers (the ability to ban or restrict the sale of products) for National Competent Authorities (like CySEC), as well as for the European Supervisory Authorities: **ESMA** (European Securities and Markets Authority) and **EBA** (European Banking Authority).

Frage 124

The requirement for a transaction report to include reference to risk reduction, only applies in cases where the transaction:

A. is in excess of a threshold size

B. relates to commodity derivatives

C. is conducted outside normal business hours

D. relates to sovereign debt

Correct Answer: B (relates to commodity derivatives)

Explanation:

- **Why B is correct:** When reporting transactions in **commodity derivatives**, firms must indicate whether the transaction "reduces risk" (i.e., is for hedging purposes) in an objectively measurable way. This helps regulators distinguish between commercial hedging and financial speculation.

Frage 125

The transparency requirements applicable to systematic internalisers are waived if the sizes in which they deal:

A. are above standard market size

B. are below standard market size

C. are more than double the minimum quote size

D. are less than three times the minimum quote size

Correct Answer: A (are above standard market size)

Explanation:

- **Why A is correct:** Systematic Internalisers (SIs) are generally required to make their quotes public. However, this transparency obligation is waived if they deal in sizes that are **above standard market size**. This is to protect liquidity providers from undue risk when

handling very large orders.

Frage 126

What is the LATEST point for systematic internalisers to submit identifying reference data to CySEC?

A. Before relevant trading commences

B. At the same time as relevant trading commences

C. One hour after relevant trading commences

D. By close of business on the day relevant trading commences

Correct Answer: A (Before relevant trading commences)

Explanation:

- **Why A is correct:** To ensure market oversight, reference data for financial instruments must be submitted to the competent authority (CySEC) **before** trading in that instrument commences.

Frage 127

A CIF has decided to carry out reverse stress testing as part of its ICAAP requirements. The starting point for this activity is to:

A. identify the risk appetite of the firm

B. identify the circumstances that would render the firm's business model unviable

C. compile a register of risks that the firm is exposed to

D. compile a list of the exposure levels of its main competitors

Correct Answer: B (identify the circumstances that would render the firm's business model unviable)

Explanation:

- **Why B is correct: Reverse stress testing** works backward. Instead of asking "What happens if X occurs?", it asks "What scenarios would break the bank (make it **unviable**)?" and then assesses how likely those scenarios are.

Frage 128

A CIF is considering its exposure to risks that may arise from the failure to process execution-only orders appropriately. In accordance with Pillar 2 of the Capital Requirements Directive and Basel Accord, this will normally be classed as:

A. business risk

B. strategic risk

C. settlement risk

D. legal and compliance risk

Correct Answer: D (legal and compliance risk)

Explanation:

- **Why D is correct:** Legal and Compliance risk specifically includes risks arising from breaches of obligations, such as the failure to execute orders appropriately (e.g., execution-only services) or providing unsuitable advice.

Frage 129

A CIF suffers from strategic risk where it:

A. takes actions which lead to sanctions by CySEC

B. needs to raise assets at short notice at high cost

C. becomes associated by any means with money laundering activity

D. responds too slowly to changes in its market sector

Correct Answer: D (responds too slowly to changes in its market sector)

Explanation:

- **Why D is correct: Strategic Risk** is defined as the risk arising from adverse business decisions, improper implementation of decisions, or **lack of responsiveness to changes in the business environment**.

- **Why A is wrong:** This is Compliance Risk.
- **Why B is wrong:** This is Liquidity Risk.
- **Why C is wrong:** This is Reputational Risk.

Frage 130

As part of the planning stage of the SREP, CIFs will be required to:

A. conduct a risk assessment

B. lodge a deposit payment

C. carry out desk-based analysis

D. submit a report to CySEC

Correct Answer: D (submit a report to CySEC)

Explanation:

- **Why D is correct:** The first stage of the SREP (Planning) involves CySEC requesting the CIF to **submit its ICAAP report** for review.

Frage 131

As part of the SREP, CySEC are currently reviewing the outcome of inspection visits to a firm. This confirms that:

A. the firm has been identified for additional monitoring

B. the ICAAP submission has been assessed

C. the regulator has completed the validation stage

D. the process has only recently started

Correct Answer: B (the ICAAP submission has been assessed)

Explanation:

- **Why B is correct:** The review of inspection visits typically occurs *after* the initial desk-based review of the ICAAP report, often as part of the "Review of Additional Information" or concluding the "Review and Assessment of ICAAP" phase. It indicates the assessment is well underway or completed, moving towards finalizing supervisory measures. In the SREP stages, inspection results are used to validate or challenge the ICAAP assessment.

Frage 132

As part of the SREP, CySEC has just set a CIF's capital resource requirement. CySEC's next key stage in the process is:

A. conducting the inspection visit

B. undertaking a desk based review

C. internal validation of the results

D. requesting additional information

Correct Answer: C (internal validation of the results)

Explanation:

- **Why C is correct:** After determining the supervisory measures (setting the capital requirement), the final stage of the SREP process is the **SREP Validation**, where CySEC internally validates the results of the entire evaluation before communicating them.

Frage 133

Credit concentration risk:

A. should be analysed on a local level and a consolidated basis

B. occurs as a result of credit risk mitigation techniques

C. is the result of poor credit quality

D. should increase if market volatility increases

Correct Answer: A (should be analysed on a local level and a consolidated basis)

Explanation:

- **Why A is correct: Credit Concentration Risk** (large exposures to single borrowers or sectors) must be analyzed at both the **local legal entity level** (to protect the subsidiary) and on a **consolidated basis** (to protect the group). An unmanaged concentration at a subsidiary level can threaten the entity even if it looks small at the group level.

Frage 134

From a strategic perspective a CIF's ICAAP should be used to:

A. form the basis of regular internal audit requirements

B. form the reporting needs of the annual report

C. plan capital needs for three to five years ahead

D. focus on Pillar 1 risk coverage for five to seven years ahead

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Correct Answer: C (plan capital needs for three to five years ahead)

Explanation:

- **Why C is correct:** The ICAAP (Internal Capital Adequacy Assessment Process) is not just a compliance exercise; it is a strategic tool. One of its key principles is that it must be **forward-looking**, ensuring the firm has sufficient capital not just for today, but to support its business plan over the medium term (typically a **3 to 5 year horizon**).

Frage 135

In accordance with Pillar 1 of the Capital Requirements Directive and Basel Capital Accord, a CIF is dealing with its market risks. This will include the risk that:

A. the firm incurs losses due to the failure of a counterparty

B. the firm has recruited poorly performing staff

C. the firm's costs rise due to an increase in interest rates

D. the firm's reputation is damaged following a scandal

Correct Answer: C (the firm's costs rise due to an increase in interest rates)

Explanation:

- **Why C is correct: Market Risk** (under Pillar 1) specifically includes the risk of losses arising from movements in market prices. This includes **Interest Rate Risk**, Foreign Exchange Risk, Equity Risk, and Commodity Risk.
- **Why A is wrong:** This is Credit/Counterparty Risk.
- **Why B is wrong:** This is Operational Risk ("people").
- **Why D is wrong:** Reputational Risk is a Pillar 2 risk, not Pillar 1.

Frage 136

In what way does CySEC normally carry out the 'supervisory measures' stage of the SREP process?

A. By setting capital resource requirements

B. By conducting inspection visits

C. By issuing a risk profile grading

D. By a desk-based analysis

Correct Answer: A (By setting capital resource requirements)

Explanation:

- **Why A is correct:** The "Supervisory Measures" stage is the output of the SREP. After assessing the firm's risks and ICAAP, CySEC determines the necessary actions. The primary measure is setting the specific **capital resource requirement** (often called the "SREP add-on" or Pillar 2 requirement) that the firm must hold above the minimum Pillar 1 requirement.

Frage 137

The fundamental purpose of the SREP is to:

A. advise CySEC on the methodology by which to assess CIF risk profiles

B. provide independent audit functions to assist CIFs in improving risk management

C. ensure CIFs maintain adequate capital to cover their material risk exposures

D. advise CIFs on how to manage risk domestically and non-domestically

Correct Answer: C (ensure CIFs maintain adequate capital to cover their material risk exposures)

Explanation:

- **Why C is correct:** The Supervisory Review and Evaluation Process (SREP) is the regulator's tool to ensure that institutions have adequate arrangements, strategies, processes, and mechanisms, as well as **sufficient capital** and liquidity to ensure sound management and coverage of their risks.

Frage 138

The ICAAP should form an integral part of a CIF's management processes for what primary purpose?

A. To facilitate ongoing review of material risks

B. To facilitate ongoing dialogue with CySEC

C. To enable effective use of both qualitative and quantitative approaches

D. To enable prompt changes to its basis to be processed

Correct Answer: A (To facilitate ongoing review of material risks)

Explanation:

- **Why A is correct:** A core principle of ICAAP is that it should be embedded in the business ("use test"). It should be used by management to continuously monitor, assess, and mitigate the **material risks** the firm faces, rather than just being a report produced for the regulator.

Frage 139

The ICAAP, is a set of processes, procedures and measures which are designed to:

A. identify and measure risk

B. detail market exposure

C. ensure regulatory compliance

D. treat customers fairly

Correct Answer: A (identify and measure risk)

Explanation:

- **Why A is correct:** The definition of ICAAP is the strategies and processes to **assess (identify and measure)** and maintain the amounts, types, and distribution of internal capital adequate to cover the nature and level of risks to which the firm is exposed.

Frage 140

The MAIN purpose of the ICAAP process is to:

A. establish CIF capital requirements against a measured risk profile

B. establish the volume of business a CIF is able to transact

C. enable the CIF to identify and cost suitable risk management systems

D. enable the CIF to comply with the SREP

Correct Answer: A (establish CIF capital requirements against a measured risk profile)

Explanation:

- **Why A is correct:** The ultimate output of the ICAAP is a number: the amount of internal capital the firm believes it needs to hold. This amount is determined by measuring the firm's specific **risk profile**.

Frage 141

The outcome of the SREP for two CIFs indicates different subsequent periodic review periods. What is this MOST likely to reflect?

A. Their Pillar 2 capital requirements

B. The dates of their previous reviews

C. The turnover of their businesses

D. Their respective risk profiles

Correct Answer: D (Their respective risk profiles)

Explanation:

- **Why D is correct:** CySEC applies a **risk-based approach** to supervision. The frequency and intensity of the SREP reviews depend on the "size, systemic importance, nature, scale and complexity" of the activities—in short, the **risk profile**. Higher-risk firms are reviewed more frequently than lower-risk firms.

Frage 142

The purpose of the SREP is to ensure:

A. CIFs have sufficient capital

B. markets are fair and orderly

C. clients receive suitable advice

D. robust business continuity planning

Correct Answer: A (CIFs have sufficient capital)

Explanation:

- **Why A is correct:** The Supervisory Review and Evaluation Process (SREP) comprises the processes and measures applied by CySEC to ensure that CIFs have **sufficient capital** to support all material risks to which their business exposes them.

Frage 143

What is the main DISADVANTAGE when using scenario analysis as a stress testing tool?

A. It cannot use fully appropriate combinations of factors

B. It cannot accurately reflect real-life interrelationships between factors

C. It is only appropriate for total business failure situations

D. It requires a higher level of repeat testing than other methods

Correct Answer: B (It cannot accurately reflect real-life interrelationships between factors)

Explanation:

- **Why B is correct:** While Scenario Analysis allows testing simultaneous changes in risk factors, a key limitation is the difficulty in accurately modeling the complex **interrelationships (correlations)** between those factors as they would behave in a real-life crisis (e.g., liquidity often dries up exactly when credit risk spikes).

Frage 144

What is the MAXIMUM net exposure an institution is allowed under the Capital Requirements Regulation of the EU?

(Note: This question refers to the absolute monetary floor for inter-institution exposures)

A. EUR50 million B. EUR100 million C. EUR150 million D. EUR250 million

Correct Answer: C (EUR150 million)

Explanation:

- **Why C is correct:** Under the Large Exposure regime, if the client is an institution (bank), the exposure limit is the **higher** of 25% of eligible capital OR **€150 million**. Therefore, an institution is allowed a net exposure up to at least €150 million (provided it doesn't exceed 100% of eligible capital).

Frage 145

What type of risk is known to be particularly exacerbated by high liquidity and volatility in the market place?

A. Foreign exchange risk

B. Business risk

C. Credit concentration risk

D. Settlement risk

Correct Answer: A (Foreign exchange risk)

Explanation:

- **Why A is correct: Foreign Exchange Risk** (the risk of loss from FX rate movements) is specifically noted in the syllabus as being significant due to the **high liquidity and volatility** of the FX market, which can lead to rapid and substantial losses.

Frage 146

When considering Pillar 1 of the Capital Requirements Directive and Basel Accord, one of the key differences between market risk and foreign exchange risk is that:

A. only market risk is fully covered

B. only foreign exchange risk is fully covered

C. whilst both are fully covered, only market risk needs to be stress tested

D. whilst both are fully covered, only foreign exchange risk needs to be stress tested

Correct Answer: A (only market risk is fully covered)

Explanation:

- **Why A is correct:** In the classification of risks, **Market Risk** is a core Pillar 1 risk (fully covered by quantitative requirements). **Foreign Exchange Risk** is listed in the syllabus as a risk "not fully covered in Pillar 1" (along with Settlement, Residual, etc.) and thus requires additional assessment under Pillar 2/ICAAP to ensure full coverage.

Frage 147

Where a CIF is exposed to the risk that it is unable to realise payments from clients in a timely manner, this is normally described as:

A. securitisation risk

B. residual risk

C. market risk

D. credit concentration risk

Correct Answer: B (residual risk)

Explanation:

- **Why B is correct: Residual Risk** is defined as the risk that remains when credit risk mitigation techniques prove less effective than expected. This explicitly includes the "delay or inability to realise payment from a client in a timely manner" despite having documentation or collateral in place.

Frage 148

Which of the following describes the large exposure limits under the EU Capital Requirements Regulation?

A. Institutions may not incur net exposures of a value in excess of 10% of their eligible capital

B. Institutions may not incur net exposures of a value in excess of 20% of their eligible capital

C. Institutions may not incur net exposures of a value in excess of 25% of their eligible capital

D. Institutions may not incur net exposures of a value in excess of 50% of their eligible capital

Correct Answer: C (Institutions may not incur net exposures of a value in excess of 25% of their eligible capital)

Explanation:

- **Why C is correct:** The general Large Exposure limit states that an institution's exposure to a client or group of connected clients shall not exceed **25%** of its eligible capital.

Frage 149

Which of the following statements is TRUE in relation to the Capital Requirements Directive?

A. Settlement risk is not fully covered within Pillar 1

B. Credit risk is not fully covered within Pillar 1

C. Settlement risk is classed as a Pillar 2 risk

D. Credit risk is classed as a Pillar 2 risk

Correct Answer: A (Settlement risk is not fully covered within Pillar 1)

Explanation:

- **Why A is correct:** As per the classification in the syllabus, **Settlement Risk** is identified as one of the "Risks not Fully Covered in Pillar 1" (making it a candidate for Pillar 2 assessment), whereas Credit Risk is a primary Pillar 1 risk.

Frage 150

Why does a CIF maintain a risk register?

A. To contribute to a central CySEC database

B. To form the basis of its stress testing programme

C. To review its risk profile for regulatory purposes

D. To understand potential risk impact and severity

Correct Answer: D (To understand potential risk impact and severity)

Explanation:

- **Why D is correct:** The purpose of a **Risk Register** is to document and categorize all risks the firm is exposed to. Crucially, it includes an indication of the **severity** of the risk and the **adverse impact** it could have on the CIF if it remained unidentified.

Frage 151

Why might a CIF wish to review its ICAAP within a short space of time?

A. To reflect changes in its operating environment

B. To correspond with staffing levels

C. To maximise cost efficiencies

D. To validate its business recovery planning

Correct Answer: A (To reflect changes in its operating environment)

Explanation:

- **Why A is correct:** While the ICAAP must be reviewed at least annually, it must also be reviewed *ad-hoc* if there are significant changes to the firm's operations, strategy, or the **operating environment** (e.g., market crash, new regulation, merger) that affect its risk profile.

Frage 152

With respect to the Capital Requirements Regulation of the EU, if an institution has eligible capital of EUR800 million they are allowed a MAXIMUM net exposure of:

A. EUR150 million

B. EUR160 million

C. EUR200 million

D. EUR800 million

Correct Answer: C (EUR200 million)

Explanation:

- **Why C is correct:** The Large Exposure limit for an institution is the **higher** of 25% of eligible capital OR €150 million (provided it doesn't exceed 100% of capital).
  - Calculation: €800m * 25% = **€200 million**.
  - Since €200m > €150m, the limit is €200m.

Frage 153

Which of the following MUST be publicly disclosed by a CCP?

A. Costs and revenues for each of their services

B. Prices and fees for each of their services

C. Any breaches that constitute a threat to market confidence

D. Any breaches that might seriously jeopardise the financial markets

Correct Answer: B (Prices and fees for each of their services)

Explanation:

- **Why B is correct:** A CCP must publicly disclose the **prices and fees** for each service individually, including discounts and rebates, to ensure transparency for clearing members.

- **Why A is wrong:** Costs and revenues are disclosed to *CySEC*, not necessarily to the public.

Frage 154

A CCP must inform CySEC of the:

A. prices and fees of their services

B. risks associated with their services

C. costs and revenues of their services

D. communication protocols of their services

Correct Answer: C (costs and revenues of their services)

Explanation:

- **Why C is correct:** While prices/fees are public, the specific **costs and revenues** of the services must be accounted for separately and disclosed to the competent authority (**CySEC**).

Frage 155

CCP's are required to make a number of public disclosures. Which of the following would potentially be excluded from that requirement?

A. A disclosure that details the prices and fees for each of their services

B. A disclosure that details any discounts and rebates

C. A breach disclosure that would cause reputational damage to the parties involved

D. A breach disclosure that would cause disproportionate damage to the parties involved

Correct Answer: D (A breach disclosure that would cause disproportionate damage to the

parties involved)

Explanation:

- **Why D is correct:** Generally, breaches by clearing members must be made public. However, an exemption exists if CySEC/ESMA considers that publication would cause **disproportionate damage** to the parties involved or threaten financial stability.

Frage 156

How frequently should a CCP calculate its liquidity requirement?

A. At times when markets are liquid

B. Daily

C. Weekly

D. Monthly

Correct Answer: B (Daily)

Explanation:

- **Why B is correct:** CCPs must measure their potential liquidity needs on a **daily basis**, taking into account the liquidity risk generated by the default of the two largest clearing members.

Frage 157

If a CCP has a liquidity requirement of EUR100 million, what is the MAXIMUM credit line it can utilise from a clearing member?

A. EUR25 million

B. EUR50 million

C. EUR75 million

D. EUR100 million

Correct Answer: A (EUR25 million)

Explanation:

- **Why A is correct:** A single clearing member (including its parent/subsidiaries) cannot provide more than **25%** of the credit lines needed by the CCP.
  - Calculation: 25% of €100m = **€25 million.**

Frage 158

If a CCP needs to access credit to meet liquidity requirements, what is the MAXIMUM percentage it can borrow from a single clearing member?

A. 10%

B. 25%

C. 50%

D. 75%

Correct Answer: B (25%)

Explanation:

- **Why B is correct:** This tests the same rule as the previous card but asks for the percentage. The concentration limit for liquidity credit lines from a single member is **25%**.

Frage 159

It is a regulatory requirement that a CCP must hold capital that is sufficient to:

A. provide adequate protection of the CCP against reputational risk

B. ensure an orderly wind-down or restructuring of activities within 6 months

C. provide adequate protection of the CCP against legal risk

D. ensure an orderly wind-down or restructuring of activities within 1 year

Correct Answer: C (provide adequate protection of the CCP against legal risk)

Explanation:

- **Why C is correct:** EMIR stipulates that a Central Counterparty's (CCP) capital must be sufficient to provide adequate protection against credit, counterparty, market, operational, **legal**, and business risks that are not already covered by specific financial resources.

- **Why B & D are wrong:** While capital must cover an orderly wind-down, the regulation refers to an "appropriate time span," not a fixed 6-month or 1-year period in this specific context of capital sufficiency definitions.

Frage 160

It is a requirement that a CCP MUST hold capital that is:

A. in excess of €10 million

B. sufficient to meet short term obligations

C. in excess of €15 million

D. sufficient to ensure an orderly wind-down or restructuring of activities

Correct Answer: D (sufficient to ensure an orderly wind-down or restructuring of activities)

Explanation:

- **Why D is correct:** Alongside covering operational risks, the capital requirements for a CCP are specifically designed to ensure it has enough resources to facilitate an **orderly wind-down or restructuring** of its activities if it were to fail.

Frage 161

What is the MINIMUM amount of capital a CCP MUST have in order to be authorised?
A. EUR2.5 million
B. EUR5 million
C. EUR7.5 million
D. EUR10 million

Correct Answer: C (EUR7.5 million)

Explanation:

- **Why C is correct:** EMIR sets a strict quantitative floor for the initial capital of a Central Counterparty at **€7.5 million**.

Frage 162

As a MINIMUM, a CIF MUST review its recovery plan:
A. quarterly
B. monthly
C. yearly
D. bi-annually

Correct Answer: C (yearly)

Explanation:

- **Why C is correct:** Recovery plans are part of the governance arrangements and must be reviewed **at least annually** (or after any material change to the legal/organizational structure of the CIF).

Frage 163

CySEC may enter into bilateral information sharing resolutions with third countries providing that

it has notified:

A. the European Central Bank

B. the European Financial Stability Facility

C. the European Banking Authority

D. the European Systemic Risk Board

Correct Answer: C (the European Banking Authority)

Explanation:

- **Why C is correct:** When CySEC enters into cooperation arrangements (MOUs) with third-country authorities regarding resolution planning, it is required to notify the **European Banking Authority (EBA).**

Frage 164

If a CIF has failed then:

A. the CBC must notify the European Systemic Risk Board

B. CySEC must notify the European Securities and Markets Authority

C. the CBC must notify the European Securities and Markets Authority

D. CySEC must notify the European Systemic Risk Board

Correct Answer: D (CySEC must notify the European Systemic Risk Board)

Explanation:

- **Why D is correct:** When CySEC determines that the conditions for resolution are met (i.e., the CIF is failing or likely to fail), it must notify several bodies, including the **European Systemic Risk Board (ESRB)**, to ensure macro-prudential risks are monitored.

Frage 165

In which scenario is CySEC entitled to require that members of the senior management of a CIF are removed?

A. The CIF is about to infringe its own funds requirement

B. The CIF is a subsidiary receiving intra group support from its parent

C. The CIF fails to submit its recovery plan within the specified time-frame

D. The CIF is a subsidiary receiving intra group support from a fellow group subsidiary

Correct Answer: A (The CIF is about to infringe its own funds requirement)

Explanation:

- **Why A is correct:** This falls under **Early Intervention** powers. If a CIF's financial condition deteriorates (e.g., rapidly infringing or about to infringe **own funds requirements**), CySEC can demand the removal or replacement of senior management.

Frage 166

In which scenario is CySEC is entitled to require that a CIF makes changes to its business strategy?

A. If the CIF is a subsidiary receiving intra group support from its parent

B. If the CIF is about to infringe its own funds requirement

C. If the CIF is a subsidiary receiving intra group support from a fellow group subsidiary

D. If the CIF fails to submit its recovery plan within the specified timeframe

Correct Answer: B (If the CIF is about to infringe its own funds requirement)

Explanation:

- **Why B is correct:** Similar to the previous card, this is an **Early Intervention** measure. If the financial situation deteriorates significantly (infringing capital requirements), CySEC can require changes to the CIF's **business strategy** to address the problems.

Frage 167

Institutions can only provide financial support to group entities in financial difficulties if:

A. it is done as parent to subsidiary

B. if there is a financial agreement in place

C. it is done as subsidiary to subsidiary

D. it does not represent a risk for the whole group

Correct Answer: D (it does not represent a risk for the whole group)

Explanation:

- **Why D is correct:** While intra-group support is allowed (even without a prior agreement on a case-by-case basis), a fundamental condition is that the provision of the support must not jeopardize the liquidity or solvency of the entity providing the support. It must not create a threat to the financial stability of the **whole group**.

Frage 168

Recovery planning requirements state that CIFs MUST maintain a recovery plan that is reviewed at least:

A. every year

B. every 2 years

C. every 5 years

D. every 10 years

Correct Answer: A (every year)

Explanation:

- **Why A is correct:** Recovery plans are not static documents. To remain effective, they must be reviewed and updated **at least annually** or after any material change to the legal or organizational structure of the CIF

Frage 169

Which of the following acts as a consolidating supervisor with respect to cross-border cooperation?

A. CySEC

B. ESMA

C. CBC

D. ECB

Correct Answer: A (CySEC)

Explanation:

- **Why A is correct:** In the context of cross-border resolution for Investment Firms (CIFs), **CySEC** acts as the consolidating supervisor. In this capacity, it participates in Resolution Colleges and coordinates information exchange.

Frage 170

Which of the following describes the resolution tool known as the "the asset separation tool"?

A. Shares issued by an institution are transferred to a non-bridging institution

B. Rights are transferred to a bridge institution

C. An institution converts its debt into equity

D. An institution converts capital instruments into equity

Correct Answer: B (Rights are transferred to a bridge institution)

Explanation:

- **Why B is correct:** According to the definitions provided in the slides, the "Transfer of Assets" tool (also referred to as the asset separation tool) is a mechanism to transfer assets, **rights**, or liabilities to a **bridge institution**.

Frage 171

Which of the following statements is TRUE in relation to intra-group financial support?

A. The group financial support agreement may cover any combination of entities that are part of the group

B. The group financial support agreement is only allowed to cover support between parent companies and subsidiaries

C. Each party to a group financial support agreement must act in the best interests of the wider group

D. Any calculations used within a group financial support agreement must be based on prevailing market prices

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Correct Answer: A (The group financial support agreement may cover any combination of entities that are part of the group)

Explanation:

- **Why A is correct:** The agreement is flexible. It can cover support from parent to subsidiary, subsidiary to parent, or **subsidiary to subsidiary**. It covers "any combination of entities".
- **Why C is wrong:** Entities must act in **their own** best interest.
- **Why D is wrong:** Calculations do *not* have to take into account anticipated temporary impacts on market prices.

Frage 172

Which of the following statements is TRUE in relation to resolution tools?

A. The CBC may grant permission for the establishment of a bridge institution

B. CySEC may grant permission for the establishment of a bridge institution

C. CySEC may use a bail-out mechanism

D. The CBC must carry out its assessments within one month

Correct Answer: B (CySEC may grant permission for the establishment of a bridge institution)

Explanation:

- **Why B is correct:** Specifically for the resolution of **CIFs**, CySEC has the power to grant permission for the establishment of a bridge institution (effectively waiving standard licensing requirements temporarily) so that assets can be transferred quickly and safely.

Frage 173

Which of the following statements is TRUE in relation to resolution tools? In the event that CySEC has NOT completed required shareholder assessments in relation to a bail-in then:

A. transfers can be made immediately but voting rights will be suspended during the assessment period

B. no transfers can be made but shareholders' voting rights remain intact

C. the CBC can insist that common tier 1 equity is written down and tier 2 equity is converted

D. the Investment Services and Activities and Regulated Markets Law can be temporarily relaxed so that assets can be separated

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Correct Answer: A (transfers can be made immediately but voting rights will be suspended during the assessment period)

Explanation:

- **Why A is correct:** In a resolution scenario (like a bail-in where debt converts to shares), there isn't time for the usual slow regulatory approval of new shareholders. The transfer happens immediately to save the firm, but the **voting rights** of the new acquirers are **suspended** until CySEC completes its suitability assessment.

Frage 174

Which of the following statements is TRUE in relation to the appointment of special administrators?

A. A special administrator is appointed by the resolution authority for a period not exceeding 1 year

B. The resolution authority may only appoint 1 person

C. Their remuneration will be borne by the resolution authority

D. During their term, they have only restricted access to institutional data

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Correct Answer: A (A special administrator is appointed by the resolution authority for a period not exceeding 1 year)

Explanation:

- **Why A is correct:** The Resolution Authority (Central Bank of Cyprus) appoints a special administrator to replace the management of a failing institution. The term is limited to **one year** (though it can be renewed in exceptional circumstances).
- **Why C is wrong:** Remuneration is paid by the **institution** (the bank/CIF), not the authority.
- **Why D is wrong:** Administrators have **full access** to all data and management powers.

Frage 175

Which of the following would CySEC normally inform if it considers that a CIF is failing?

A. The European Banking Authority

B. The European Central Bank

C. The European Systemic Risk Board

D. The European Financial Stability Facility

Correct Answer: C (The European Systemic Risk Board)

Explanation:

- **Why C is correct:** When CySEC determines that the conditions for resolution are met (a firm is failing), it must notify various bodies to ensure financial stability is monitored. One of the specific bodies listed in the regulation is the **European Systemic Risk Board (ESRB)**.

Frage 176

If a company has shares currently trading on a regulated market, what is the MAXIMUM amount of new equity that can be issued in a 12 month period WITHOUT triggering the requirement to issue a prospectus?

A. 5% of the same class of shares

B. 10% of the same class of shares

C. 5% of any class of shares

D. 10% of any class of shares

Correct Answer: B (10% of the same class of shares)

Explanation:

- **Why B is correct:** The Prospectus Law provides an exemption for the admission to trading of shares representing less than **10%** of the number of shares of the **same class** already admitted to trading on the same regulated market over a period of 12 months.
- *(Note: While newer EU regulations raised this to 20%, your syllabus slides explicitly state 10%, so stick to 10% for the exam).*

Frage 177

It is a requirement to publish a prospectus for an offer of which of the following types of securities?

A. Bostadsobligationer issued by credit institutions in Sweden

B. Units issued by closed-end collective investment scheme

C. Non-fungible shares of capital intended to give the holder property access

D. Non-equity securities issued manner by credit institutions

Correct Answer: B (Units issued by closed-end collective investment scheme)

Explanation:

- **Why B is correct:** The Prospectus Law generally exempts open-ended funds (like UCITS), but it **expressly applies** to units issued by **closed-end** collective investment undertakings.
- **Why the others are wrong:** "Bostadsobligationer" (A), "Non-fungible shares linked to property" (C), and certain "Non-equity securities by credit institutions" (D) are all explicitly listed as **exemptions** in the law.

Frage 178

Shares issued by the CBC:

A. are exempt from the requirement to issue a prospectus

B. do not require a prospectus if the offer is less than EUR5 million over a period of 12 months

C. require a prospectus for offers in excess of 10% of the current issued share class

D. must always be accompanied by a prospectus

Correct Answer: A (are exempt from the requirement to issue a prospectus)

Explanation:

- **Why A is correct:** The Central Bank of Cyprus (CBC), along with the State and local authorities, is fully **exempt** from the scope of the Prospectus Law.

Frage 179

Which of the following offers would require the publication of a prospectus?

A. An offer of securities which is less than EUR 2 million over a period of 12 months

B. Shares issued for the capital of the central bank

C. Convertible securities issued continuously by credit institutions

D. Units issued by collective investment undertakings

Correct Answer: C (Convertible securities issued continuously by credit institutions)

Explanation:

- **Why C is correct:** While non-equity securities issued continuously by banks are often exempt (if under €75m), this exemption **only** applies if the securities are **"not subordinated, convertible or exchangeable"**. Since these are **convertible**, the exemption is lost, and a prospectus is required.

- **Why A is wrong:** Offers under €5m are exempt.
- **Why B is wrong:** Central bank capital is exempt.
- **Why D is wrong:** Collective investment undertakings (open-ended) are generally exempt.

Frage 180

Holders of financial instruments must notify both the issuer and CySEC if the voting rights held:

A. are 3% of total voting rights

B. reach 4% of total voting rights

C. exceed 60%

D. fall below 75%

Correct Answer: D (fall below 75%)

Explanation:

- **Why D is correct:** The notification thresholds are **5%, 10%, 15%, 20%, 25%, 30%, 50%, and 75%**. A shareholder must notify if their holding reaches, exceeds, or **falls below** any of these thresholds.
- **Why A & B are wrong:** These are below the minimum 5% threshold.
- **Why C is wrong:** 60% is not a designated threshold (the gap is between 50% and 75%).

Frage 181

If a CIF hold shares on its trading book it is exempt from shareholder notification requirements as long as their holding does not exceed:

A. 5% of the total voting rights of the issuer

B. 7.5% of the total voting rights of the issuer

C. 10% of the total voting rights of the issuer

D. 15% of the total voting rights of the issuer

Correct Answer: A (5% of the total voting rights of the issuer)

Explanation:

- **Why A is correct:** Under Transparency Laws, voting rights held in the **trading book** of a credit institution or investment firm are exempt from notification requirements, provided the holding does not exceed **5%** and the voting rights are not exercised to intervene in the issuer's management.

Frage 182

In the first quarter of the year Bambos increased his shareholding in an equity from 2% to 4% of the total voting rights. In the second quarter he doubled it again to 8% and this pattern continued with a 16% holding by Q3 and a 32% shareholding by Q4. Which of the following statements is TRUE?

A. A notification is required in Q1, Q2, Q3 and Q4

B. A notification is required in Q2, Q3 and Q4 only

C. A notification is required in Q3 and Q4 only

D. A notification is required in Q4 only

Correct Answer: B (A notification is required in Q2, Q3 and Q4 only)

Explanation:

- **Why B is correct:** You must notify when crossing thresholds (5%, 10%, 15%, 20%, 25%, 30%, etc.).
  - **Q1 (2% -> 4%):** No threshold crossed. (No notification).
  - **Q2 (4% -> 8%):** Crossed **5%**. (Notification required).
  - **Q3 (8% -> 16%):** Crossed **10%** and **15%**. (Notification required).
  - **Q4 (16% -> 32%):** Crossed **20%, 25%, 30%**. (Notification required).

Frage 183

Issuer reporting requirements for the disclosure of ongoing information require changes to voting rights to be reported:

A. monthly

B. quarterly

C. semi-annually

D. annually

Correct Answer: A (monthly)

Explanation:

- **Why A is correct:** An issuer must disclose the total number of voting rights and capital at the end of **each calendar month** during which an increase or decrease has occurred. This allows shareholders to calculate their percentage holdings accurately.

Frage 184

Issuers of shares are obliged to inform shareholders of their right to:

A. act as proxy
B. veto a proposal
C. participate in meetings
D. make a complaint

Correct Answer: C (participate in meetings)

Explanation:

- **Why C is correct:** Issuers must provide information to shareholders regarding the place, time, and agenda of meetings, and specifically inform them of their right to **participate** in those meetings.

Frage 185

Issuers of shares must ensure that:
A. the exercise of shareholder rights by proxy is prevented
B. basic facilities are available on demand to enable shareholders to exercise their rights
C. information is available online to enable overseas shareholders to exercise their rights in the Republic
D. the integrity and safety of data is preserved

Correct Answer: D (the integrity and safety of data is preserved)

Explanation:

- **Why D is correct:** When communicating information to holders of securities, issuers are explicitly required to ensure that the **integrity and safety of data** is preserved (e.g., preventing data corruption or unauthorized alteration during transmission).

Frage 186

Reporting requirements for the disclosure of periodic information state that an issuer's annual financial report needs to be available to the public for at LEAST:
A. 1 year
B. 3 years
C. 5 years
D. 10 years

Correct Answer: D (10 years)

Explanation:

- **Why D is correct:** Once published, annual (and half-yearly) financial reports must remain publicly available for a period of at least **10 years**.

Explanation:

- **Why B is correct:** While local competent authorities (like CySEC) *propose* Accepted Market Practices (AMPs), the final decision on whether a practice is "acceptable" and compatible with EU regulations lies with **ESMA** (European Securities and Markets Authority), which issues an opinion on the matter.
- *(Note: The question wording is slightly loose, as Competent Authorities establish them after ESMA's opinion, but B is the best answer because ESMA is the gatekeeper/ prescriber of the standard across the EU).*

Frage 190

An employee of a company gained access to confidential information which he should have known was inside information, but assumed was not. This means that he:

A. is not deemed to be in possession of inside information under any circumstances

B. is automatically deemed to be in possession of inside information

C. is only deemed to be in possession of inside information if it was acquired criminally

D. is only deemed to be in possession of inside information if it was acquired in the course of their employment

Correct Answer: B (is automatically deemed to be in possession of inside information)

Explanation:

- **Why B is correct:** The prohibition on insider dealing applies to any person who possesses inside information under circumstances where they **know, or ought to know**, that it is inside information. Ignorance ("assumed it was not") is not a defense if a reasonable person in their position would have known.

Frage 191

An issuer established a list of persons outside the organisation who, in the course of acting for them, have acquired inside information. When should this list be provided to the regulator?

A. At least once every six months

B. At least once every year

C. Only when there are more than three persons on the list

D. Only when requested by regulator

Correct Answer: D (Only when requested by regulator)

Explanation:

- **Why D is correct:** Issuers must maintain an insider list and keep it updated at all times. However, they only need to transmit this list to the competent authority (CySEC) **upon**

request.

Frage 192

CySEC is most likely to allow the issuer of a financial instrument to delay the disclosure of inside information where:

A. it may cause a disproportionate adjustment in the instrument price

B. it may influence the outcome of business negotiations

C. some of the information is known to have been leaked

D. members of staff are being investigated for violations

Correct Answer: B (it may influence the outcome of business negotiations)

Explanation:

- **Why B is correct:** One of the legitimate interests that may justify a delay in disclosure is if immediate publication would prejudice the issuer's legitimate interests, such as **influencing the outcome of ongoing business negotiations** (e.g., a merger or acquisition that isn't finalized).
- **Why C is wrong:** If information is leaked, the issuer usually must disclose *immediately* to correct the asymmetry.

Frage 193

If an individual executing transactions reasonably suspects that a transaction may constitute market manipulation, they should immediately notify:

A. the competent authority of the trading venue

B. the CBC

C. the competent authority in the member state in which they are registered

D. ESMA

Correct Answer: C (the competent authority in the member state in which they are registered)

Explanation:

- **Why C is correct:** Persons professionally arranging or executing transactions must report suspicious orders and transactions (STORs) to the **competent authority of the Member State where they are registered or have their head office** (e.g., if a CySEC-regulated firm spots it, they report to CySEC).

Frage 194

Information disseminated in order to give a misleading signal in relation to a financial instrument is known as:

A. market manipulation

B. insider dealing

C. money laundering

D. product bias

Correct Answer: A (market manipulation)

Explanation:

- **Why A is correct:** Market manipulation includes the dissemination of information through the media (including the internet) that gives **false or misleading signals** as to the supply, demand, or price of a financial instrument.

Frage 195

Joe is a manager within an issuing firm. Under what circumstances would he be obliged to report a transaction made by his cousin Ben?

A. Joe has contributed to the costs of Ben's university education

B. Joe and Ben have equivalent roles in competing firms

C. Ben has been living in Joe's house for over a year

D. Ben has previously worked for Joe in another firm

Correct Answer: C (Ben has been living in Joe's house for over a year)

Explanation:

- **Why C is correct:** Managers (PDMRs) must report transactions of "Closely Associated Persons". A relative is considered closely associated if they have **shared the same household for at least one year** on the date of the transaction.

Frage 196

Front: Persons who produce or disseminate an investment recommendation must disclose:

A. how they are qualified to give a recommendation

B. how they are remunerated

C. any potential conflicts of interest

D. the firm's complaints policy

Correct Answer: C (any potential conflicts of interest)

Explanation:

-

Why C is correct: Persons producing investment recommendations (like analysts) must ensure information is objectively presented and, crucially, must disclose their interests or any **conflicts of interest** concerning the financial instruments to which that information relates .

Frage 197

The issuer of a financial instrument wants to delay the disclosure of some inside information as it relates to potential insolvency proceedings. What action must the issuer therefore take to avoid breaching the regulations?

A. Request a trading suspension

B. Submit a confidential release to the Cyprus Stock Exchange

C. Notify all known creditors of this situation

D. Seek approval from CySEC

Correct Answer: D (Seek approval from CySEC)

Explanation:

- **Why D is correct:** An issuer may delay public disclosure of inside information (such as insolvency) only if specific conditions are met (legitimate interest, no misleading of public, confidentiality assured). Crucially, to do this legitimately, they must inform the competent authority (**CySEC**) and provide a written explanation. For certain delays related to financial stability, the consent of the authority is explicitly required .

Frage 198

The key significance of inside information is that making it public knowledge is:

A. done by fraudulent means

B. done specifically for financial gain

C. likely to significantly influence the price of certain financial instruments

D. likely to disrupt the entire market

Correct Answer: C (likely to significantly influence the price of certain financial instruments)

Explanation:

- **Why C is correct:** The definition of inside information hinges on the "significant effect on prices" test. Information is only "inside information" if, were it made public, it would be likely to have a **significant effect on the prices** of those financial instruments or related derivatives.

Frage 199

The requirement for the issuers of financial instruments to make inside information public as soon as possible only applies to financial instruments which are:

A. listed within the Republic

B. traded on a regulated market

C. in an ongoing negotiation

D. derivatives

Correct Answer: A (listed within the Republic)

Explanation:

- **Why A is correct:** While MAR applies EU-wide, the specific obligation for an issuer to inform the public "as soon as possible" applies to issuers who have requested or approved admission of their financial instruments to trading on a regulated market in a Member State (i.e., **listed within the Republic** in the context of CySEC supervision).

Frage 200

Under what circumstances is a person in possession of inside information permitted to disclose it to another person?

A. Only where required in the normal course of their business

B. Only where acting on the account of a third party

C. Only with the written authority of a director of the company

D. Only if it is clear that the other person already knows the information

Correct Answer: A (Only where required in the normal course of their business)

Explanation:

- **Why A is correct:** Unlawful disclosure arises when a person discloses inside information to any other person, *except* where the disclosure is made in the **normal exercise of an employment, a profession or duties**.

Frage 201

Where confidential data, if made public, would have a neutral effect on the price of its associated financial instrument, then this data:

A. should only be released through official channels

B. is classed as sensitive information

C. will not fall into the definition of inside information

D. is not permitted to be released purely in verbal format

Correct Answer: C (will not fall into the definition of inside information)

Explanation:

- **Why C is correct:** As reinforced in previous questions, if information would have a **neutral effect** (no significant impact) on the price, it fails the key test for "Inside Information".